

2005 SCC OnLine All 1117 : (2006) 2 All LJ 391 (DB)

Allahabad High Court
(Lucknow Bench)
(BEFORE PRADEEP KANT AND G.K. GUPTA, JJ.)

Noind Power Co. Ltd.

Versus

State of U.P. & Anr.

C.W.P. No. 1048 of 2000 (M/B)

Decided on November 10, 2005



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1. Heard the learned counsel for the petitioners Sri Shanti Bhushan, Senior Advocate assisted by Sri N. Pyne, Advocate and Sri Rakesh Dwivedi, Senior Advocate and Sri S.K. Kalia, Senior Advocate assisted by Sri Jaideep Narain Mathur, Advocate for the respondents. With a view to encourage the private sector in the matter of distribution of power in the State of U.P., the Government of U.P. desired that the power should be supplied to the consumers by a joint venture company, namely, a private company and for giving boost to such a programme and to make it real the supply to the consumers of the notified area of Greater Noida was entrusted to the petitioner Company by allowing it to purchase power from the then existing U.P. State Electricity Board (now known as U.P. Power Corporation Ltd.). For implementing the said Scheme expeditiously an agreement was entered into between the parties fixing a tentative price of Rs. 1.66 per unit for power purchase for a period of six months, which was to be studied and revised thereafter by an Independent Authority with the hope that such an "agreement would be faithfully implemented, which would reduce the burden of supply of power of the Board to some extent and would also encourage private sector in the field of electricity supply but the present litigation is an example of a dispute resulting into an uncalled for, litigation which is continuing since the very initial stage of the agreement till date mainly because one or the other party did not accept the determination made by the Independent Authority and thus the dispute regarding power purchase price payable by the petitioner Company to the Board is still pending, which this court is

persuaded to clear out.

2. The petitioner, Noida Power Company Ltd. (hereinafter referred to as the NPCL) is joint venture company with 27% participation by Greater Noida Development Authority (an instrumentality of State of U.P.) incorporated on 29.6.1992 under the Companies Act, 1946 for taking over the distribution of electricity in the notified area of Greater Noida and CESC a private limited company of Calcutta, A Memorandum of Understanding (MoU) was signed between Greater Noida Industrial Development Authority and CESC Ltd., an RPG Group Company, as co-promoter on 11.12.1992. The NPCL was granted licence under the Indian Electricity Act, 1910 by the Government of U.P. on 30.8.1993 for supply of electricity to Greater Noida area, which licence is valid for a period of 30 years. The petitioner is thus licensee in terms of section 2(6) of the Electricity (Supply) Act, 1948.

3. An agreement dated 15.11.1993 between the petitioner and respondent no. 2 was entered into prescribing the stipulated tentative power purchase price at the rate of Rs. 1.66 per unit. The petitioner company was to purchase power from the then U.P. State Electricity Board (now U.P. Power Corporation Ltd.) and was to supply power to its consumers in the Greater Noida area. Under the terms of the agreement, the price of the power supplied by the NPCL to its consumers was to be the same, which was the price on which the Board was supplying power to its own consumers. This arrangement/agreement clearly understood that at a given rate of Rs. 1.66 per unit tentatively fixed, the power shall be purchased by the NPCL from the Board and that shall be supplied to its consumers by the NPCL on the same price which is being charged by the Board from its own consumers. This tentative price of power purchase was fixed for a period of six months, whereinafter it was to



be studied and revised by an Independent Authority to be nominated by the State Government after six months of Company's operation. The agreement stipulated that the rates would be subject to revision, as and when consumer tariff is revised by the Board.

4. In pursuance of the aforesaid agreement, the NPCL commenced its operation on 15.12.1993. After expiry of six months of its operation, the Government of U.P. appointed a Committee known as Nair Committee for final determination of power purchase price on 31.8.1994. The Nair Committee which consisted of three Members submitted its report on 28.2.1995 in which one Member did not submit

any report nor signed the report whereas Mr. Nair and the other Member Sri Vijay Prakash submitted separate reports, which makes the aforesaid report wholly irrelevant, however, a rate of Rs. 1.35 per unit was proposed, for power purchase by calculating on the principles of Sixth Schedule of Electricity (Supply) Act, 1948, by one member Mr. Nair, though the other member, Sri Vijay Prakash suggested the rate of Rs. 1.77 per unit.

5. Finding that the final determination of rates could not be done, the Government of U.P. vide letter dated 28.4.1995 directed the NPCL to make payment at the rate of Rs. 1.66 per unit till the determination of power purchase price.

6. A new Committee/Independent Authority known as M.I. Beg Committee for determination of power purchase price in terms of the agreement between UPSEB and NPCL was constituted by the Government, vide letter dated 27.7.1995 and the Board passed resolution agreeing to abide by the Beg award on 4.10.1995. In the meantime, the licence of the petitioner Company dated 30.3.1993 was amended on 18.7.1996 to include additional area in the jurisdiction of the Company. The Beg Committee submitted its recommendations on 7.3.1997 fixing the rate of Rs. 1.59 per unit. The said determination was not acceptable to NPCL, as, according to the Company, the aforesaid calculation was an erroneous calculation wherein allegedly inflated income was taken into account and also the tariff increase effected by the Board beyond the reference period of six months was also considered and that the interest on UPSEB loan was not taken into account and was said to be resolved separately between the Board and NPCL with suitable modification of the agreement. The NPCL, vide its letters dated 19.7.1997 and 19.8.1997 objected to the aforesaid determination of power purchase price by the Beg Committee (hereinafter referred to as the 1st Beg Committee) by high lighting the aforesaid alleged discrepancies. On 5.12.1997 a decision was taken in the meeting between the Government of U.P. the Board and the NPCL wherein the minutes of the meeting was recorded as follows;

NPCL's income taken for rate fixation would be corrected on the basis of the actuals for the material period of April - June, 1994, while the income for the period January-March, 1994 would be retained as per Beg Committee;

7. Shri T. George Joseph, IAS, Chairman, Greater Noida, would undertake the review,

8. Interest charges against UPSEB loan would be a deductible expense to be adjusted against power purchase bill on "Pay & Deduct" basis.

9. Sri T. George Joseph submitted his report on 8.1.1998 revising

the income of NPCL for the period April - June, 1994 on the basis of actual revenue to which the NPCL agreed, vide letter dated 15.1.1998 made on account payment of power purchase on the basis of the rate derived from Shri Joseph's correction of income for April - June, 1994.

10. There is a dispute by the respondents about the report submitted by Sri T. George Joseph as a report of Independent Authority, as he was entrusted the work of review of a limited period but in any case *Joseph's* report was not accepted by the Board on the plea that NPCL's expenditure for April - June, 1994 be also re-examined.

11. The State Government thereafter on 29.5.1998 made a reference to Sri M.I. Beg for review of income and expenditure for the period April, June, 1994, vide reference order dated 27.6.1998

12. The Government of U.P. extended the



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period of agreement for further period of one year on the same terms and conditions, which fact was communicated to the NPCL, vide letter dated 29.5.1998 and on 23.8.1998 the Board informed the Company that the billing will be made at normal rate as per earlier terms during the extended period of agreement.

13. Sri M.I. Beg submitted his report regarding the income and expenditure of the NPCL for the period April - June, 1994 on 3.3.1999 upon which the State Government requested him on 6.3.1999 to determine the rate in continuation of his report. This time the Beg Committee (hereinafter referred to as the 2nd Beg Committee) vide its report dated 19.3.1999 recommended the rate of Rs. 1.41 per unit upon revision of income/expenditure for the period April - June, 1994. The NPCL, vide its letter dated 25.3.1999 confirmed its acceptance of Rs. 1.41 per unit but this time objection was raised by the Board on 6th May, 1999 saying that income of NPCL from January - March, 1994 be also examined.

14. As a result of the objection so raised, a decision was taken at the higher level in a Government of U.P. meeting attended also by the Chief Minister on 6.5.99 that reference be made to Sri M.I. Beg for review of income and expenditure between the period January - March, 1994, in view of the Board's objection, otherwise NPCL is agreed to the rate of Rs. 1.41 per unit.

15. It was also decided in the said meeting of the High Power Committee that a new agreement with revised terms would be

executed between the Board and the NPCL and till such time power purchase price was determined by the Regulatory Commission, that rate would be fixed by the U.P. Government in accordance with the Sixth Schedule. It was further decided in the meeting that the NPCL's generation and distribution operations are to be delinked and treated under separate agreements and the Board would purchase power from NPCL's proposed power plant on the basis of power purchase agreement.

16. The NPCL by its letter dated 14.5.1999 communicated its conditional acceptance of further review by Sri Beg, subject to, inter alia, Sixth Schedule being followed. Sri M.I. Beg was required to review and submit report within 45 days, vide letter dated 11.6.1999. The terms of agreement was extended for a period of three months from 15.6.1999, vide Board's letter dated 5.7.1999 and the Government of U.P. confirmed the terms of reference vide its letter dated 8.7.1999 and also enclosed therein the Board's letter dated 16.6.1999 which claimed the rate of Rs. 1.66 per unit, which was the tentative rate fixed and mentioned in the agreement.

17. It appears that the NPCL, vide its letter dated 17.9.1999 raised a grievance to the Government of U.P. for delaying the Award of Beg Committee making the Board responsible for raising the issues which were outside the terms of reference and objecting to the determination of Rs. 1.66 under section 47 as claimed by the Board and also mentioned that there was no signed agreement between the parties on the aforesaid issue. The Government of U.P. re-affirmed the terms of reference, vide letter dated 21.9.1999 and on 2.11.1999 and requested Sri M.I. Beg to submit his report within 30 days in view of the issues referred being 'extremely limited'. The NPCL appears to have sent the letter dated 5.11.1999 stating that any decision taken beyond the terms of reference and not on the same basis adopted earlier will not be binding upon the Company.

18. Since in the meantime, a Gazette Notification of 10.9.1998 was published in regard to the establishment of U.P. State Electricity Regulatory Commission by the Governor of the State, the Company requested the Government to refer the matter to the Commission, which has since come into being as per statutory provisions in view of the delay in making the award by Sri Beg. The Government, however, did not accede to the said request of the Company. The Company again wrote a letter on 6.12.1999 communicating to the Government that the Company would not be under obligation to accept any report if extraneous issues beyond the terms of reference are considered or the basis/principle decided by the Authority earlier is changed. Sri M.I. Beg submitted his report (Third Beg Committee Report) dated 5.12.1999



alongwith letter dated 9.12.1999 recommending the rate of Rs. 1.63 per unit for the aforesaid period of six months.

19. The NPCL feeling dissatisfied with the report submitted an objection on 20.12.1999 to the Government of U.P. pointing out infirmities/erroneous conclusions in the report and requested for rejection of the same.

20. The Board again extended the term of the agreement from 30.11.1999 for a further period of three months which was communicated to the Company, vide letter dated 31.3.2000. In the meantime, Uttar Pradesh Electricity Reforms Act, 1999 came into force, vide Gazette Notification dated 14.1.2000 of the Government of U.P. and the petitioner Company not finding the rates as proposed by the Third Beg Committee as acceptable, filed the present writ petition on 29.2.2000 praying for various reliefs including the relief of issuance of a writ, order or direction in the nature, of mandamus directing the State of U.P. including the UPSEB to withdraw, revoke and cancel the Beg report; refrain from giving any effect thereto or from taking any step in terms thereof or thereunder or pursuant thereto; refer the issues relating to determination and/or revision of the power purchase price in terms of the said agreement dated 15.11.1993 to Uttar Pradesh Electricity Regulatory Commission for determination thereof in terms of ERC Act, 1998.

21. In the writ petition, an interim order was passed by a Division Bench of this Court on 31.3.2000, mainly issuing the following two directions:

(i) The State Commission under ERC Act, 1998 which has been deemed as Commission under Section 3 (b) of U.P. Electricity Reforms Act, 1999 to fix the tariff i.e. power purchase price within 10 days.

(ii) The parties shall maintain status quo regarding payment of tariff by the petitioner to the Corporation. This protection afforded to the petitioner shall be of no avail as soon as the State Commission fixes the tariff.

22. The U.P. Power Corporation Ltd. (here inafter referred to as the UPPCL), filed a counter affidavit on 18.5.2000. The U.P. State Electricity Regulatory Commission fixed the power purchase rates, vide order dated 12.2.2001. In this order the Commission fixed the rates for the period 1993 - 1994 to 1999-2000. The starting rate determined by the Commission was Rs. 1.39 per unit against Rs. 1.66 per unit (tentative rate for the period in question) and thereafter in continuation of that

rate, rates have also been determined for the subsequent years and lastly for the financial year 1999-2000, the rate of Rs. 2.56 per unit has been determined. The High Court, vide its order dated 19.2.2001 directed the petitioners to deposit the amount as per the tariff decided by the UPERC, within six weeks, which amount to the tune of Rs. 721.31 lakhs was deposited in instalments; Rs. 400 lakhs on 14.3.2001 and balance on 29.3.2001.

23. Despite marathon exercise and repeated Independent Authorities being appointed and successive reports being given, the NPCL and the Board/UPPCL could not reconcile themselves on the determination of final price of power purchase, which has resulted into such a long drawn litigation and still the two are not agreed upon any rate mutually or on the basis of the any of the aforesaid reports or the fixation made by the Commission, as there is serious dispute between the parties on the methodology which should be adopted for determining the price.

24. From the arguments raised by the parties, the following points require consideration:

(1) Whether any mutually agreed methodology exists or was applied while making the tentative price of Rs. 1.66 per unit; and, if yes, whether the same has to be applied when the final price is to be determined.

(2) If there was no agreed methodology either before the execution of the agreement or in the agreement for determining the final price, then whether the provisions of Sixth Schedule of the Electricity (Supply) Act, 1948 can be applied by their reverse application, though the said provision may not be applicable straightaway in the case of determination of power purchase price payable by the Company to the Board/UPPCL, more so when the same principle has been applied in the determination of power purchase price for



KESCO;

(3) In view of the admitted position that the agreement stipulates only a tentative price of Rs. 1.66 per unit for a period of six months, which was to be 'studied and revised' after six months of operation of the Company, it would necessarily mean that while determining the firm price, the aforesaid phrase 'studied and revised' necessarily excludes the claim of reasonable return of the Company.

(4) Whether the applicability of the provisions of Sixth Schedule

in their reverse application have to be excluded, as per the case of the respondents that the Company was not entitled to any reasonable return;

(5) Whether the Electricity Regulatory Commission was having jurisdiction to determine the rate of tariff for power purchase both for the period of six months given under the agreement and also of subsequent periods.

(6) Whether the plea of the respondents that the Board/UPPCL should not suffer loss because of the power supplied to the Company and statutory surplus of 3% has necessarily to be earned by the Board/UPPCL in accordance with the provisions of section 59 of the Act stands satisfied in the determination made by the Commission.

25. According to the petitioners, it was agreed in principle in all the earlier reports except the Third Beg Committee Report that the determination is to be made by applying the Sixth Schedule to the Electricity (Supply) Act, 1948 and not the provisions of section 47 whereas it is the specific case of the respondents that Sixth Schedule is not applicable and that the determination has to be done on the basis of the provisions of section 47 by calculating it on the 'through rate' basis on assessment of the total expenditure of the NPCL and its income.

26. The NPCL's argument is that before all previous Committees/Independent Authorities including the Nair Committee but for the Third Beg Committee, it was agreed between both the parties before the Independent Authorities, a mention of which also finds place in their reports that Sixth Schedule will apply, which is also evident by the fact that the licence granted itself makes the applicability of Sixth Schedule obligatory.

27. The petitioners' claim is being rebutted by the learned counsel for the respondents by asserting that though in the first three reports, a mention of Sixth Schedule has been made with the agreement of the parties but in effect even in none of those reports, the Independent Authority has followed the Sixth Schedule or its principles and, therefore, to say that the earlier reports were based on Sixth Schedule is total misconception of the afore said reports, apart from the fact that Sixth Schedule cannot be made applicable to the present agreement which is an arrangement, which is protected by Section 47 of the Act of 1948 even after the enforcement of the Uttar Pradesh Electricity Reforms Act, 1999 and the Electricity Regulatory Commission Act, 1998 and, therefore, the plausible, reasonable, legal and agreed method of determining the price is the calculation of 'through rate' by taking into account the entire expenditure and expenses and income of the NPCL. According to the respondents, if the methodology of Sixth Schedule is applied, that would run against the agreed terms of the agreement of

power purchase and would be contrary to the agreement which would mean adopting and introducing such provisions in the agree ment, which have never been intended to be adopted and used under the agreement.

28. Regarding the applicability of the Sixth Schedule, which in fact, is the financial prin ciple and their application, the provisions in pursuance of which the same has been enacted and its sphere of applicability has to be seen from the provisions of the Act of 1948. The Sixth Schedule refers to section 57 and sec tion 57-A of the Act of 1948 Section 57, which is the 7 Licensee's charges to consumers is a provision of deemed incorporation of the pro visions of the Sixth Schedule in the licence of every licensee, not being a local authority and reads as under:

“57. Licensee's charges to consumers—The provisions of the Sixth Schedule shall be deemed to be incorporated in the licence of every licensee, not being a local authority—

(a) in the case of a licence granted before the commencement of this Act, from the



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date of the commencement of the licensee's next succeeding year of account; and

(b) in the. case of a licence granted after the commencement of the Act, from the date of commencement of supply, and as from the date, the licensee shall comply with the provisions of the said Schedule accordingly, and any provisions of the Indian Electricity Act 1910 (9 of 1910), and the licence granted to him thereunder and of any other law, agreement or instrument applicable to the licensee shall, in relation to the licensee, be void and of no effect in so far as they are inconsistent with the provisions of Section 57-A and the said Schedule.”

29. Section 57-A is for the constitution of the rating committees in matters where the provisions of the Sixth Schedule under section 57 are deemed to be incorporated in the licence of any licensee.

30. ‘Licensee’ has been defined under section 2(6) of the Act, which means a person licensed under Part II of the Indian Electricity Act, 1910 to supply energy or a person who has obtained sanction under Section 28 of that Act to engage in the business of supplying energy (but the provisions of Section 26 or 26-A of this Act notwithstanding does not include the Board or a Generating Company). The aforesaid definition excludes the Board (now UPPCL) or a generating company

from the definition of 'licensee' aforesaid. The Board thus would not be a licensee within the meaning of Section 57 to whom the provisions of Sixth Schedule would apply nor can be treated to have been incorporated therein. But in accordance with the provisions of section 26, the Board will have the power and obligations of a licensee under Act IX of 1910. The Board thus would discharge all its powers and obligations of a licensee under the provisions of the Act of 1910 and this Act shall be deemed to be the licence of the Board for the purpose of Act of 1910.

31. A) The first proviso attached to the aforesaid section 26 excludes the applicability of sections 3 to 11 and other sub-sections and clauses mentioned therein in respect of the Board which related to the duties and obligations of a licensee in respect of the Board and their application in respect of the Board; whereas the second proviso further says that the provisions of Clause VI of the Schedule to that Act shall apply to the Board meaning thereby that the Act of 1910 shall apply to the Board in respect of that area only where distribution mains have been laid by the Board and the supply of energy through any of them has commenced.

31. Section 26-A is in regard to the applicability of the provisions of Act of 1910 to Generating Company, which means a company registered under the Companies Act, 1956 and which has among its objects, the establishment, operation and maintenance of generating stations as defined in Section 2(4-A).

32. Upon reading of the aforesaid provisions and the definition of 'licensee' given in the Act of 1948, it can well be concluded that the Board is not a 'licensee' within the meaning of section 2(6) of the Act of 1948 but subject to the provisions of the Act, it shall have all powers and obligations of a licensee under the Act of 1910 in respect of the whole State and for the said purpose the Act of 1948 shall be deemed to be the license of the Board for the purpose of the Act of 1910.

33. It thus stands clarified that the Board being not a licensee within the meaning of the definition as given in 1948 Act, the provisions of section 57, which are applicable to the licensee would not be applicable in the case of the Board. The licensee, as mentioned in section 57 and 57-A is a licensee, who is covered by the definition of the said term given in section 2(6) of the Act of 1948 and the Board having been expressly excluded from the definition of licensee under the aforesaid provisions notwithstanding the provisions of section 26 and 26-A of this Act could not be treated or taken to be a licensee for the purpose of Section 57. That being so, the Board, merely because it has all powers and obligations of a licensee under the Act of 1910 and 1948 Act, would be deemed to be licensee for the purpose of the former Act, would not be a licensee within the meaning of 1948 Act.

34. The provisions of Sixth Schedule, which have been inherently made applicable by a legal fiction in the case of a licensee under



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Section 57 obligate the applicability of the provisions of Sixth Schedule in the matter of determination of tariff by the licensee to its consumers but this legal fiction would only be attracted in the case of a licensee under the Act of 1948 and not otherwise.

35. The deeming provision or a legal fiction has to be applied or would be deemed to be applicable only in case it strictly falls within the criteria laid down for inviting such deeming provision or legal fiction. The scope of the deeming provision cannot be extended beyond the intendment of the provision/en actment in which it has been provided nor it can be used or deemed to be incorporated for the purpose of extending the scope of the concerned provision and the applicability thereof.

36. By virtue of section 57, a licensee, who supplied energy/power to its consumers, has necessarily to determine the price by taking into account the provisions and principles laid down in detail in the Sixth Schedule. While doing so and while making calculation of the price (rate of tariff), the licensee has been given right to have 'reasonable return' while fixing such price. The principle behind framing Sixth Schedule apparently are that while making the price determination, the interest of the consumer as well as that of the licensee, who supplies power to them, is safeguarded and protected. Under various heads of Sixth Schedule, various expenses including such amounts which are liability of the licensee, may be, for example, the loan amount and interest payable thereon and keeping reserve have been provided with further option to have a 'reasonable return'. This mechanism, on the one hand, lays down a criteria and guidelines for taking out the cost of energy and also the little profit, which has been termed as 'reasonable return', which can also be named as 'surplus', which too is very essential for the purpose of running and maintaining the licensee so that it continues to supply power to its consumers not only without loss but with some 'reasonable return'. In fact, the provisions of Sixth Schedule are more specified and detailed procedures for determination of price by the licensee for supply to its consumers treating that such supply to the consumers is a commercial transaction and, therefore, care has to be taken, that neither the consumers suffer because of the arbitrary fixation of price which have to be done by taking into account various expenses and expenditure under different categories and heads under

the Schedule nor the licensee is put to a loss, for which the provision of reasonable return has been made. This is a simple principle of determination of price in any commercial transaction.

37. Having found that the Board not being a licensee within the meaning of Section 2(6) of the 1948 Act and, therefore, the provisions of Section 57 and consequently the Sixth Schedule not being applicable, the only provision which gives power to the Board to fix tariff of its consumers is section 49.

38. Section 49 of the Act reads as under:

“49. Provision for the sale of electricity by the Board to persons other than licensees-

- (1) Subject to the provisions of this Act and or regulations, if any, made in this behalf, the Board may supply electricity to any person, not being a licensee upon such terms and conditions as the Board thinks fit and may for the purposes of such supply frame uniform tariffs.
- (2) In fixing the uniform tariffs, the Board shall have regard to all or any of the following factors, namely-
 - (a) the nature of the supply and the purpose for which it is required;
 - (b) the co-ordinated development of the Supply and distribution of electricity within the State in the most efficient and economical manner, with particular reference to such development in areas not for the time being served or adequately served by the licensee;
 - (c) the simplification and standardization of methods and rates of charges for such supplies;
 - (d) the extension and cheapening of supply of electricity to sparsely developed areas.
- (3) Nothing in the foregoing provisions of this section shall derogate from the power of the Board, if it considers it necessary or expedient to fix different tariffs for the supply of electricity to any person not being a licensee, having regard to the geographical position of



any area, the nature of the supply and purpose for which supply is required and any other relevant factors.

- (4) In fixing the tariff and terms and conditions for the supply of electricity, the Board shall not show undue preference to any

person.”

39. Section 49 is the provision of sale of electricity by the Board to the persons other than licensees. A bare perusal of the aforesaid provision would indicate that the Board has the power to fix tariff for supply of electricity to any person, who is not a licensee, upon such terms and conditions, as the Board thinks fit and may for that purpose of supply frame uniform tariff. The factors or conditions which have to be taken into consideration in fixing tariff from time to time have also been provided in sub-section (2) and sub-section (3) gives overriding power to the Board to fix different tariffs for different consumers not being a licensee in given situation under the aforesaid section; whereas in sub-section (4) a caution has been put that the Board shall not show undue preference to any person in fixing the tariff or the terms and conditions of supply of electricity.

40. The aforesaid provisions of section 49 thus is a complete code in itself for the Board, for determination of tariff for supply of electricity to its consumers, not being a licensee and also the criteria broadly given therein, for the purpose with an assurance of not showing undue favour or preference to any consumer in the matter of determination of price or tariff or the terms and conditions of supply of electricity.

41. The Board is thus not governed by the provisions of Sixth Schedule nor is the same applicable in the determination of tariff to its consumers. Section 49, which is regarding the fixation of tariff to its consumers, shall also not be attracted as against the NPCL, the latter not being a consumer, but a licensee.

42. The next question arises that whether the NPCL would be a licensee within the meaning of section 57 so as to have the benefit of legal fiction or the deeming provision of incorporation of the provisions of Sixth Schedule in the licence and consequently its applicability in the matter of determination of power purchase price from the Board.

43. The NPCL is a licensee under section 3(1) of the Indian Electricity Act, 1910 and is a licensee within the meaning of the Act of 1948 also, but it would not attract the provisions of section 57 in the matter of determination of power purchase price from the Board in its liberal terms.

44. Section 57 is a provision and rather a procedure or machinery which provides for fixation of tariff by the licensee to its consumers. The Board is not the consumer of NPCL. The consumers are thus persons to whom the electricity is being supplied by the NPCL and not the Board from whom the power is being purchased for being supplied to its consumers by the NPCL. So far as the price or the rates on which power is to be supplied by the NPCL to its consumers is concerned, the same already stands determined under the agreement itself which provides that the NPCL shall supply power to its consumers on the same very

rate on which the Board supplies power to its own consumers. Therefore, a ceiling has been placed upon the rate of supply by the NPCL to its consumers and NPCL is not at liberty to change that price or to raise that price. It is thus apparent that NPCL can not claim the applicability of Sixth Schedule for the purpose of determination of price of power purchase from the Board, it neither being a consumer nor the Board is its consumer, as such the determination of the price of the power purchased from the Board by the NPCL does not apparently fall within any of the clauses of Section 57 and consequently Sixth Schedule cannot be said to be applicable literally or strictly.

45. Sri Shanti Bhushan, learned Senior Advocate, appearing for the NPCL urged that Sixth Schedule would be applicable firstly for the reason that it was agreed to, between the parties before the Independent Authorities but for in the Beg Committee Third that the same would be applicable and, secondly also because the agreement itself says in Clause 2 that the provisions of Electricity (Supply) Act, 1948 would apply and Sixth Schedule being a part of the aforesaid Act would thus be applicable



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but the same has to be applied by 'reverse application'. It will thus be required to find out as to whether legally and under the provisions of the Act or under the terms of the agreement, the Sixth Schedule or its principles would be or can be applied by making its reverse application, and also the effect and import of the agreement of both the parties upon all the Independent Authorities but for Beg Third, in respect of the applicability of Sixth Schedule.

46. Clause (2) of the agreement says that this agreement would be read and construed in all respects in conformity with all the provisions of the Act and the Electricity (Supply) Act, 1948 or any subsequent amendment made therein and any Rules and Regulations made thereunder.

47. The recital made in clause (2) of the agreement may lead to the inference about the applicability of the provisions of Electricity (Supply) Act, 1948 but that would mean the application of only such provision which would be applicable in terms of the agreement or which could be made otherwise applicable under the provisions of the Act. In case by virtue of specific term of the agreement, any of the provisions of the Act stand excluded in its applicability in respect of the terms and conditions of the agreement or if the parties' do not fall within the specification and definition given under the Act in a particular provision,

then all such provisions would stand excluded in their applicability between the parties despite it having been generally mentioned that the agreement shall be read and construed in all respects in conformity with the provisions of Electricity (Supply) Act, 1948.

48. Section 57 of the Act is the provision, which applies the provisions of Sixth Schedule to every license but as already discussed above, it prescribes the procedure for determination of tariff by the licensee for the supply of electricity to its consumers whereas in the instant case this determination of tariff to its consumers is not in the hands of the licensee, namely, NPCL, as it is to supply electricity to its consumers on the same rate on which the Board is supplying electricity to its own consumers.

49. Thus, the applicability of the provisions of Electricity (Supply) Act, 1948 would be confined only to such provisions which are actually applicable and not with respect to those which are either not applicable or which have been consciously or expressly excluded from their applicability under the terms of the agreement. If a general and sweeping interpretation is given to the aforesaid recital of clause (2) of the agreement, that would frustrate the terms of the agreement and would also lead to the results which are uncalled for.

50. The agreement is an arrangement referable to Section 47 and 48 of the Act and, therefore, while interpreting and understanding the meaning and import of the terms of the agreement, their intention, scope and binding nature, has to be kept in mind.

51. Elaborating his arguments regarding the applicability of Sixth Schedule, Sri Shanti Bhushan further submitted that may be that the provisions of Sixth Schedule be not applicable in the strictest terms of Section 57 but they would be applicable by virtue of their reverse application, as the Board placed a ceiling on the price of power supply by the NPCL to its consumers by providing that the NPCL would charge the same price which the Board is charging from its own consumers and, therefore, there being no scope or liberty to the NPCL to fix and charge the price of electricity for supply to its consumers, the only reasonable methodology which could be adopted for determination of power purchase price would be by making reverse application of the provisions of Sixth Schedule and the principle laid down therein. The submission is that only by following the aforesaid principle, the Board would be getting reasonable price towards the cost of supply and the NPCL would also get a reasonable return by making the determination on taking into account the various heads under the Sixth Schedule, which, according to him, would balance the equities between the two, namely, the Board and the NPCL and both would not remain in loss. Further that the Board was earning huge profits and the NPCL shall also have small return, namely, reasonable return, in consonance with the

ba sic principle of any commercial transaction



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as the industry would not survive in the absence of any provision for reasonable return and likewise, the NPCL would also not survive.

52. It has also been urged that the Board in the matter of determination of power purchase price by KESCO (Kanpur Electricity Supply Company) has itself followed the aforesaid principle of reverse application of the provisions of the Sixth Schedule by applying the principle given therein but in the case of the petitioners, for reasons best known to the Board, the same is being opposed.

53. Sri Rakesh Dwivedi, learned Senior Advocate, in response, has submitted that neither the Sixth Schedule nor the principle of Sixth Schedule would be applicable nor the said provision can be made applicable by reverse application, as it would in substance mean applying Sixth Schedule which otherwise is not applicable. He, however, does not dispute that in the matter of KESCO the determination has been made by reverse application of the provisions of Sixth Schedule, but has tried to explain by saying that the agreement between the petitioner and the Board was a special arrangement for the purpose of giving boost and encouragement to the Company for establishing its own generating plant within a period of 4 ½ years whereafter the Company would use its own generated electricity and would not be dependant upon the Board in the matter of supply of electricity whereas for KESCO it was a permanent arrangement, which thus totally was of a different nature. Further the agreement in question was only a stop gap arrangement during the period interregnum when the Company could not have started generation of its own and it was never envisaged, in the agreement that such an arrangement would continue in per-i petuity and for all times to come. The agreement, therefore, stipulated a tentative price of Rs. 1.66 per unit for a period of six months subject to the same being studied and revised thereafter with a deliberate and conscious condition being put in the agreement in clause 7(d) that in case the Company fails to start its own generation within the aforesaid period of 4 ½ years, the Company would have to pay double the price thereafter. This condition itself demonstrate that the emphasis was on the Company generating its own electricity within a given time for which purpose the Company was also given many concessions and facilities under the agreement.

54. In defence, it has also been urged that the controversy revolves

around the meaning and interpretation of the terms of the agreement dated 15.11.1993 and in particular clause 7 of the said agreement, which provides a specified procedure/methodology for determination of tariff for the period of six months for which tentative rate of Rs. 1.66 was fixed after deliberations being made between the parties and, therefore, no other methodology can be allowed to be adopted nor any other procedure can be permitted to be followed for fixing the price.

55. Clause 7 of the agreement around which the whole controversy revolves which has various sub-clauses, reads as under:

“7. a. The Company shall pay for the supply of electric energy at the rates enforced by the Supplier from time to time as may be determined by the Supplier.

b. The rates of tariff payable by Company shall be Rs. 1.66 per unit. In addition, the following charges will also be payable by the Company:

- (i) Late Payment Surcharge (as per Board's iiv-2 tariff);
- (ii) Low Power Factor Surcharge (as per Board's iiv-2 tariff);
- (iii) Fuel Surcharge and Establishment Surcharge after June 1993 will be applicable on the actual billing of NOIDA Power Company Ltd. (NPCL) to such consumers, who are liable for these charges. The details of monthly billing will be supplied by NPCL every month, based on which additional Fuel Surcharge and Establishment Surcharge will be paid immediately alongwith the statement. At the end of each financial year statutory auditor's certificate will be submitted by NPCL to substantiate monthly statement. The Supplier has the right to check and verify these statements. Adjustment, if any, will be made at the end of financial year. However, in case of consumers added after take over by the Company, the



fuel and establishment surcharges will be passed on to the Board by the Company in full.

- (iv) Any levy, such as Sales Tax, Excise Duty, Electricity Duty, Levy, taxes, Cess etc. by whatsoever name called by Central/State Government or other competent authority on the Electricity supplied to the Company shall also be paid by the Company.
- (v) The above rates of Company are tentative which will be studied and revised after six months by an independent

authority to be nominated by State Government and mutually acceptable to NPCL and Supplier for this purpose. If during the period of these six months this Body fixes more/less charges on the basis of the above, it will be adjusted accordingly.

- (vi) While deciding/fixing the above rates (Rs. 1.66 per unit) the ratio of the mix of the, consumption of industrial and other consumers was 77:23. The same will be reviewed every year and in the case of increase/decrease of 1% in the industrial consumption, there shall be an increase/decrease of 2 (two) paise per unit in the above rates of supply of Electricity and for this purpose NOIDA Power Company shall make available all the relevant records to the Board.
- c. The rates above mentioned will, how ever, in any case be revised by the supplier as and when the rates are revised for supply of Electricity to other consumers by Board and in the case of revision, the rates so revised shall be applicable to the Company.
- d. If the Company does not start its own generation within 4 ½ years (Four years and six months i.e. the maximum period of agreement) and if the Board is ready to supply Electricity then the Board shall charge the Company at double the rates so enforced and applicable at that time."

56. In terms of clause 7. a. the Company was to pay for the supply of electric energy on the rates, which were to be enforced by the supplier, namely, the Board from time to time and as determined by the Board.

57. At the time of execution of the agreement at 33 KV, the rates were since not clear and could not be arrived at for want of necessary details, it was provided in sub-clause (2) of clause 7 that the rate of tariff payable by the Company would be Rs. 1.66 per unit in addition to the charges payable by the Company given under other sub-clauses of the said provision. The rate of tariff of Rs. 1.66 per unit was admittedly a tentative price which was to be studied and revised after six months by an Independent Authority to be nominated by the State Government and mutually acceptable to the NPCL and the Supplier for the purpose. If during the period of these six months, the Independent Authority had fixed more or less price than Rs. 1.66 per unit, the same were liable to be adjusted accordingly. At the time of deciding/fixing the rate of Rs. 1.66 per unit, the ratio of the mix of the consumption of industrial and other consumers was 77:23 which was to be reviewed every year and in the case of increase/decrease of 1% in the industrial consumption, there shall be an increase/decrease of 2 (two) paise per unit in the above rates of supply of Electricity and for

this purpose NOIDA Power Company shall make available all the relevant records to the Board.

58. The rates mentioned above were, however, in any case to be revised by the Supplier as and when the rates are revised for supply of electricity to other consumers by the Board and in the case of revision, the rates so revised were to be made applicable to the Company.

59. The respondents have urged that the rate of Rs. 1.66 per unit was not the rate of tariff, which had suddenly come from the air, or that the petitioners were not aware about the methodology used in arriving at such a rate. Their submission is that it was after long deliberations that the aforesaid rate was fixed and, therefore, the same very principle on the basis of which the said-rate was fixed would be applicable when the above rates are to be studied and revised.

60. Sri Rakesh Dwivedi refutes the argument of the learned counsel for the petitioners Sri Shanti Bhushan that the agreement does not provide for methodology for determination of price and, therefore, the Sixth Schedule can be made applicable and contends that the price of Rs. 1.66 p per unit, which



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has been termed as 'tentative', in the agreement itself was fixed after various deliberations between the parties and on principle which was agreed upon by them before entering into a written agreement. The submission, therefore, is that all correspondence and deliberations which had taken place prior to the written agreement was entered into are relevant and have to be considered for recording a finding that whether the agreement of 15th November, 1993 envisages any methodology or it can be treated to be absolutely silent on that score.

61. In contrast, the petitioner urges that all correspondence or deliberations which have taken place prior to the agreement having been reduced in writing would have no sanctity or significance when once the final agreement is reduced into writing in which all details with respect to the terms of the agreement have been specifically mentioned and, therefore, in view of non incorporation of such decision, procedure or methodology it cannot be presumed to be inherent or in existence or incorporated in the agreement even if it is found or is presumed that a particular methodology was adopted while determining the tentative price of Rs. 1.66 per unit for the period of six months.

62. The material which has been relied upon by the respondents to

show that there existed an agreed methodology, both for fixation of the tentative rate of Rs. 1.66 per unit and also for studying and revising the aforesaid rate after the period of six months are mainly the minutes of the meeting dated 6.11.1992 under the Chairmanship of the Chief Secretary, note of the Member (Distribution) of the Board dated 1.11.1993, letter, to the Principal Secretary, Energy, Government of U.P. by Sri. S. Srinivasan, Chairman, Greater Noida dated 22.9.1993, letter dated 19.9.1992, which has been written by Secretary, Heavy Industries to the Chairman/CEO, Greater Noida, Ghaziabad.

63. The aforesaid letter of 19.9.1992 communicates about the sanction being granted by the Governor for constituting a Company for the purpose of supplying electricity in the area of Greater Noida to its consumers which would be a joint venture of Greater Noida and RPG Enterprises Ltd. It also communicated that the Company would be a joint venture Company with Noida and Greater Noida, who shall also be shareholders. It also provided that Surajpur Sub Station of 132 KV would be transferred to the newly constituted Company with the condition that the aforesaid Company would pay the transfer price to the Board immediately, who would establish a new Sub Station after such transfer.

64. It was further provided in the letter that till the new Company does not have its own generation plant, till such period the Board shall supply 30 MV of Electricity to the Greater Noida. The new Company shall undertake the work of generation, transmission and distribution of electricity in the area of Greater Noida and the rates of supply of electricity would be determined in accordance with the provisions of Electricity Supply Act, 1948. The property/assets of the Board which are being given to the Company shall be assessed and the price so estimated shall be paid by the Company to the Board within a period of 10 years.

65. The aforesaid letter further laid down the specific queries and conditions with respect to the setting up of its own generating plant by the Company requiring the Greater Noida to clarify; (i) what would be the generating capacity of the Sub Station which is to be established by the new Company and on the failure of getting Gas, the medium by which it would run the plant; (ii) the period in which the generating plant would be established by the Company and the extent of work of establishment which would be taken in the first phase; and (iii) the funds which are required for the establishment of Such generating plant.

66. Care was required to be taken in fixing the rate of tariff for supply of electricity to the consumers as against the rates fixed by the Board for its own consumers so that it may not create any confusion and anomaly, A Committee was also constituted for finding out the

modalities and ways and means to ensure the implementation of the aforesaid conditions, consisting of Principal Secretary, Energy, Principal



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Secretary, Finance, Chairman, LLP. State Electricity Board and Secretary, Heavy Industries.

67. The Committee deliberated upon the aforesaid issues in its meeting dated 6.11.1992 and resolved that the price of supply of electricity to the new Company would be determined in a manner so that it does not cause any loss to the Board and that the expenditure which would be made on the assets/property of the Board would also be taken into consideration.

68. The Member (Distribution) in its note dated 1.11.1993 put a note to the Secretary, U.P. State Electricity Board, which was placed before the Board for approval. The note, which was a prelude to the execution of the written agreement, says that the State Government had granted license to the NPCL on 30.8.1993 for supply of electricity in the Greater Noida area. This Company is not in a position to have its own generation of electricity in the initial stages, therefore, the State Government, vide its letter dated 23.10.1993 decided that till the Company becomes capable of generating its own Electricity (for a period of 4 ½ years), it would receive supply of electricity from 132 KVA Surajpur Sub Station of the Board and, therefore, for supply of electricity (purchase) the rates and conditions were to be determined.

69. Three proposals made to the Principal Secretary, Power, Government of U.P., reproduced in the note of Member (Distribution), were as follows:

(a) based on the present average rate by calculating in the following manner:

Present rate + fuel and establishment surcharge 9/92 on 11 KVA + 3% statutory profit -(minus) 5% rebate on 33 KV = 220 paisa per unit. Thus the two part tariff would be (i) demand charge = Rs. 115/KVA/Month; (ii) Energy Charge = 146 paisa per unit. After September, 1992 fuel and establishment surcharge according to rate of tariff of the Board in addition.

(b) On the basis of HV 2 continuous process

Rate of HV-2 continuous process + 3% statutory profit - rebate of 5% on 33 KV=298, 82 paisa per unit.

In this way two part tariff was proposed as under:

Demand Charge = Rs. 143/KVA/Month

Energy Charge = 190 paisa/unit

Fuel and establishment surcharge in addition.

(c) On the basis of proposal of NPCL based on price index of the year 1992 of 60/90 MW Thermal Power Stations.

355.10 Paisa/unit (estimated rate on production from 60 MW capacity power station);

282.30 Paisa/unit (estimated rate on production from 90 MW capacity power station).

70. The note further says that some unsigned comments were sent by the NPCL on 22.2 1993, the reply of which was forwarded to the Government by the Principal Secretary, Power, but the State Government did not answer to the said reply. The Board has shown the through rate of 179 paisa per unit in the Greater Noida area. Thereafter an Expert Casting Committee was constituted under the Chairmanship of the Principal Secretary, Power on 22.4.1993, but it did not submit any report.

71. On 6.9.1993 a meeting was held under the Chairmanship of the Principal Secretary, Energy in which the representative of NPCL also participated wherein it was broadly considered that the power be supplied to the Company at the rate of Rs. 1.70 per unit. This rate of Rs. 1.70 per unit was derived as follows:

Rate of electricity as per LMV-2 of the Board = 213 P/unit;

5% rebate being given on the aforesaid rate on 33 KV= 202.35 P/unit;

Less 10 P per unit rebate on timely payment = -192.35 P/unit

Adding the fuel and establishment surcharge in item no. (iii) (29.21 P/unit upto:6/93 = 222 P/unit;

Ratio of energy consumption of Greater Noida of only metered consumers in which the industrial consumers were in majority = 0.77;.

Rate obtained by multiplying with multiplier at item no. (v), rates calculated/received at item no. (iv) = 170.00 P/unit.

72. On the suggestion of the aforesaid rate



of Rs. 1.70 per unit, the NPCL objected and said that this will mean a return of 22.35 paisa per unit out of 192.35 Paise per unit in which they will have to maintain and run the Company whereas in fact they require 38 paise per unit towards establishment cost and maintaining cost. On this objection it was decided that item no. (v) be re-looked and revised for which the Superintending Engineer, Electricity Distribution Division,

Ghaziabad was required to submit his comments within 15 days. It was further found that the price should be fixed at the rate of 177 paise per unit.

73. Thereafter a meeting was held in the Office of Principal Secretary, Power in which the NPCL was not present nor appears to have been invited and the rate of 166.57 paise per unit was calculated. In this calculation, it was found as under:

- (i) the average rate of all the consumers in the Greater Noida area = 188 P/unit;
- (ii) minus expenses of NPCL = 26.19 P/unit
- (iii) Balance ((i) - (ii)) = 161.81 P/unit
- (iv) minus 8% transmission losses = 12.94 P/unit
- (v) Balance ((iii) - (iv)) = 148.87 P/unit
- (vi) Adding the amount which would be saved by the NPCL on reduction of system losses = 17.70 P/unit
- Total of (v) + (vi) = 166.57 P/unit

This amount of 166.57 paise per unit was fixed as Rs. 1.66 or 166 paise per unit as tentative price for the sale of electricity for a period of six months in the agreement.

74. The aforesaid pre-contract negotiations or deliberations on which the emphasis is being laid upon by the respondents nowhere establish that the NPCL ever agreed even to the tentative price of Rs. 1.66 per unit and, as a matter of fact, it was the decision of a Committee in which the NPCL was not even represented. On the other hand, the NPCL did raise an objection when the rate of sale of electricity was proposed as 177 paise per unit by saying that it would not even meet the establishment costs for running the project. The aforesaid grievance apparently indicates that the NPCL has nowhere either accepted the methodology or the tentative rate nor it gave up the plea of reasonable return, which is also evident by the fact that even in these deliberations, the reasonable return or the profit to the NPCL was a matter for consideration, though that profit/reasonable return was said to be available to the Company by reducing the system losses, which were assessed at a comparatively very high percentage.

75. In fact, the power purchase price could not be firmly determined at the time of entering into the agreement since the ingredients necessary for such determination, such as total earnings, details of electricity consumption, expenses of the new distribution licensee and the transmission and distribution losses were not available/ascertainable. Since the Board was itself in the dark about the actual expenditure and income of the Company and was not in a position to collect any information about the area transferred to the

Company even for the financial years prior to the date of handing over, the tentative rate of tariff was fixed, of course, with some deliberations but not with full exactness. Since no firm price was fixed in the agreement, it could not be said that the agreement which is otherwise an arrangement within the meaning of Section 47 and 48 of the Act, did prescribe any mutually agreed price so as to make it binding upon the parties, obligating the licensee, namely, the Company to abide by it in terms of Section 48 of the Act.

76. The Independent Authority was to be appointed for final determination of the price for the aforesaid six months and for rest of the period, the Board was to determine the price of its own. This was to be done by the Board after six months from commencement of the operation by the NPCL and upto the year 1998 whereafter the Commission was the; authority competent to fix the tariff, it having been constituted in the year 1998. On constitution of the Commission, the UPPCL stood divested of such determination of tariff.

77. Placing reliance upon Section 47 and 48 of the Act of 1948, it is being pressed that the agreement in question being still in force, the Board was free to make alternative arrangement with the licensee and it having been mutually agreed between the parties as to in



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what manner the final determination of price would be done, it is not open for the petitioners to take a somersault and insist for adopting a principle which obviously stands excluded in the agreement.

78. Section 47 and 48 of the Act which deals with power of the Board to make alter native arrangement with the licensee and the power of the licensee to carry out arrangement under the Act are being reproduced below:

“47. Power to Board to make alternative arrangements with the licensees. — Notwithstanding anything contained in Sections 34 to 37 and sub-section (2) of Section 46 but subject to any regulations made in this behalf, the Board may make such arrangements as may be mutually agreed with any licensee whose area of supply is situate within an area for which a scheme is in force, in regard to the purchase or sale of electricity and the price thereof, or the purchase, operation or control of any generating station or main transmission line:

Provided that in making any such arrangement the Board shall not show undue preference to any licensee.

48. Power to licensee to carry out arrangements under this Act. —

Where under any provision of this Act the Board is authorized or required to enter into arrangements with any licensee for any purpose then notwithstanding anything contained in any law or in any license memorandum of association or other instrument regulating the constitution or powers of the licensee, it shall be lawful for the licensee to enter into and carry out any such arrangements.”

79. Section 47 which starts with a non obstante clause and has an overriding effect over the provisions of Sections 34 to 37 and subsection (2) of Section 46 and is subject to any regulation made in this behalf, permits the Board to make an arrangement on mutual agreement with any licensee whose area of supply is situate within an area for which a scheme is in force, in regard to the purchase or sale of electricity and the price thereof.

80. The aforesaid provision would allow making of an alternative arrangement by the Board with the licensee on the existence of the following conditions.

- (i) it should be mutually agreed arrangement between the Board and the licensee;
- (ii) the area of supply of the licensee has to be situated within an area in which a scheme is in force; and
- (iii) such an agreement would be or can be in regard to the purchase or sale of electricity and the price thereof
 or
 the purchase, operation or control of any generating station or main transmission line.

81. The section not only has the overriding effect over the provisions of Section 34, 35, 36 and 37 which relate to the supply by the Board to the generating stations and the power of the Board to close down the generating stations and also over sub-section (2) of Section 46 which makes the Grid Tariff applicable to sale of electricity by the licensee in terms of the aforesaid provision but also expressly prescribes the condition under which such arrangement can be made i.e. it should be mutually agreed arrangement between the Board and the licensee in respect of an area of supply which is situate within an area in which the scheme is in force, namely, the scheme under Section 28 of the Act and also the purpose/object for which such an arrangement can be made; namely, for the purchase and sale of electricity and the price thereof or the purchase, operation and control of any generating station or main transmission line.

82. In case there is no mutually agreed arrangement in respect of a particular issue or the purpose for which the agreement can be entered into, it would not be appropriate for the parties to presume otherwise.

83. Section 48 obligates the licensee to carry out the arrangement under the Act, which provision gives again an overriding effect to such an arrangement, despite anything contained in any law or in any licence, memorandum of association or other instrument regulating the constitution or powers of the licensee. The arrangement gives lawful authority to the licensee to enter into and carry out any such arrangement.

84. It is no more in dispute that there exists a scheme under section 28 which is still in force



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and that a mutually agreed arrangement have been entered into between the Board and the NPCL. There also cannot be any exception with respect to the applicability of the provisions of section 48 and consequently legal obligation of the licensee to carry out the terms of such arrangement (agreement dated 15.11.1993).

85. A close reading of the agreement would reveal that unquestionably it is a mutual agreement for the supply of electricity by the NPCL to its consumers in the area under the scheme after purchasing the same from the Board. The terms and conditions under which such purchase would be made or, in other words, the supply would be made by the Board to the Company have also been mutually agreed upon, but for the firm price or the rate of tariff on which such sale was to be made by the Board to the Company.

86. The other binding and mutually agreed upon terms have been specifically detailed in the agreement including the transfer of assets of the Board to the Company under Clause 21, the value thereof being assessed at Rs. 10.10 crores, the manner of repayment of loan at the given rate of interest in instalments and also the rate on which the Company would supply electricity to its consumers under Clause 23. There are other terms and conditions besides the aforementioned conditions, which also find incorporation in the agreement with mutual consent and agreement.

87. The agreement also says that a price has to be paid by the Company to the Board for the purchase of electricity but this price could not be firmly fixed in the agreement which resulted into putting a tentative rate: which was to be studied and revised after six months. The aforesaid rate of Rs. 1.66 per unit for the purchase of electricity was obviously not a rate which could be said to have been fixed on consideration of all necessary and relevant factors, as it is the admitted case of both the parties that the relevant data was not available for

making any positive and final fixation of the rate of tariff. The Board itself admitted in its letter dated 18.8.2000 and 5.9.2000 before the Regulatory commission that 'it is almost impossible to collect any information about the area transferred to NPCL for the financial years prior to the date of handing over'.

88. The argument of the learned counsel for the respondents that the agreement in question was a special package deal and, therefore, neither the parties nor the court would have the liberty to deduce such terms and conditions which do not find mention in the agreement, as it would lead to carving out a new contract or the novation of a contract, besides, the contract duly entered cannot be tinkered on the ground of equity and reasonableness or fairness has to be decided in the light of the aforesaid provisions, as detailed, and also by scrutinizing as to whether there was any fixed price mutually agreed upon and if not, the criteria which should be reasonably adopted for achieving the object for which the agreement was entered into.

89. Great emphasis has been laid upon the deterrent condition contained in Clause 7. d., wherein it has been provided that in case the Company fails to have its own generation within a maximum period of the agreement i.e. 4 ½ years, the Company shall have to pay double the price so fixed, namely, whatever the price had been fixed at that time by the Board, the Company would have to pay double the said price, to buttress his submission that this clause makes it abundantly clear that the Company was not entitled to any profits or reasonable return but it was only with a view to give the Company a reasonable period, which could be termed as 'gestation period' for having its own generation and till such time the Board had undertaken to supply power to the Company.

90. The special nature of the agreement is also being emphasized by asserting that the agreement did extend various facilities to the Company in the matter of supply of electricity to its consumers, namely, transfer of assets of the Board for the purpose of transmission and distribution and repayment of the amount treating it to be a loan in different instalments at the given rate of interest. The argument, therefore, is that the agreement being special package deal for the period interregnum, if the Company was still not in a position



to generate its own power, there was no occasion for providing any profits or reasonable return, as the Co-promoter, namely, the CESCO, was a Company which was dealing in supply of power in Calcutta and was having a vast experience, ought to have known the effect of such

an agreement. Further the intention of the agreement is not to supply power in perpetuity to the Company for further distribution to its own consumers but restricts it for the period of 4 years during which period the Company was obliged to have its own generating units and for that purpose even if the Company had to suffer some losses that would not defeat the arrangement nor make it invalid nor the Company would be entitled to claim any reasonable return on the ground of equity and reasonableness.

91. The agreement in effect and in essence was entered into with a view to minimize the burden of the Board initially in the matter of distribution of electricity to the consumers of Greater Noida area with the specific stipulation that within the maximum span of 4 ½ years the Company would start its own generating plant and on establishing its own generating plant, it would supply electricity to the area of the Board apart from supplying it to the Greater Noida area. Had this arrangement effectively and properly been implemented, the generation and supply of electricity might have improved in other parts of the State of U.P. also but despite the most laudable object for which such arrangement was envisaged, for reasons attributable either to the Company or to the Board, the generating plant could not be set up by the Company and till date electricity is being supplied by the UPPCL to the NPCL for being supplied thereafter to its consumers.

92. This arrangement of power supply was thus an arrangement which was made with the consent of the parties, for boosting the power generation in the State of U.P. and consequently electricity supply to its consumers and it was in this background that the joint venture Company was allowed to undertake the supply of electricity to its consumers. The agreement which was initially for a maximum period of 4 ½ years has been extended from time to time by the Board and is still in force. Thus, by the conduct of the Board itself it cannot be said that the Board was not willing to supply electricity after the period of 4 ½ years merely because in terms of Clause 7. d. of the agreement, after expiry of 4 ½ years period, the Company was to pay or the Board was entitled to receive double the price of the price fixed, it cannot be presumed that the tentative rate of Rs. 1.66 per unit was final or mutually agreed rate or that the principle of reasonable return stands excluded from its applicability altogether. It may be placed on record that the Board itself during the extended term of the contract, has decided to 'bill' the company at the usual rates and not at the double the rates.

93. The aforesaid condition, which is apparently a penal condition, appears to have been incorporated with a view to compel the Company to have its own generating plant within the agreement period and that

is why such a heavy price of electricity supply was fixed but such a condition would not mean that while determining the firm price for the period of six months for which the tentative price of power purchase was fixed would not allow the Company to claim reasonable return. It is a different matter that the mutually agreed arrangement would remain in force with respect to all such stipulations and conditions which stood finally determined but one cannot lose sight of the fact that the power purchase price having not been firmly arrived at nor having been firmly fixed, cannot be taken to be a mutually agreed price under the said arrangement. The mutual arrangement is for the supply of electricity to the NPCL by the Board and supply of electricity to its consumes by the NPCL and other terms and conditions, the determination of price having been left open in terms of Clause 7. b. of the agreement, requires to be determined in a just, fair and reasonable manner.

94. Attaching great importance to the special features of the agreement, as aforesaid, reliance has been placed upon the case of *Kardha & Co. Ltd. v. Ramon & Co.*, AIR 1962 SC 1810 in support of the contention that in the matter of consideration of a document, it had to be construed as a whole and that the



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terms of contract can also be implied or express in the contract has to be reasonably interpreted after taking into consideration such factors as can be taken into account for which the surrounding circumstances can also be looked into.

95. Quoting from '*The Interpretation Of Contracts*' Second Edition by Kim Lewison, Q.C., it has been urged that the intention of the parties in respect of a contract can be ascertained from the antecedent agreement. Even if, logically, it is not permitted to take account of it in construing the later instrument, it is unlikely that the court will remain wholly uninfluenced by it.

96. From *Leggott v. Barrett* (1880) 15 Ch.D. 306, it has also been urged that where the contract is recited in the deed (as many are) then it is permissible to look at the contract for the purpose of construing the deed, although not for the purpose of enlarging, diminishing or modifying its terms.

97. Reliance has also been placed upon the case *Prenn v. Simmonds* (1971) 1 W.L.R. 1381 and *Reardon Smith Line Ltd. v. Hansen Tangen* (1976) 1 W.L.R. 8989 to buttress his submission that the English Courts do not adopt a narrowly restrictive approach to a preliminary agreement in the light of the decisions of the House of Lords in the

aforesaid cases.

98. In the case of *Prenn v. Simmonds*, the rationale of excluding negotiations was that no consensus had then been reached. This objection is not open in the case of reference to an antecedent agreement. In the latter case it was said that the court should be placed in thought in the same factual matrix as that in which the parties were when they made their agreement. If they had already reached an agreement, that would have been one objective fact, which would have been known to both of them, and ought therefore, to be admissible in evidence.

99. In the case of *Ladbroke Group plc v. Bristol City Council*, (1988) 1 E.G.L.R. 126 a lease was granted pursuant to an agreement for lease which annexed the agreed form of draft. The lease as executed gave rise to a difficulty of construction, and in order to resolve it the court looked at the draft lease annexed to the agreement.

100. Further reliance has been placed upon the following cases:

1. *Pilibhit Electric Supply Co. (P) Ltd. v. Special Officer (Electricity)*, (1996) 11 SCC 288;
2. *Poona Electric Supply Co. Ltd. v. Commission of Income Tax*, (1965) 3 SCR 818 : (AIR 1966 SC 30);
3. *Orissa State Electricity Board v. Indian Aluminium Co. Ltd.* (1975) 2 SCC 431;
4. *Indian Aluminium Company Ltd. v. Kerala State Electricity Board*, (1975) 2 SCC 414 : (AIR 1975 SC 1967); and
5. *New Bihar Biri Leaves Co. v. State of Bihar*, (1981) 1 SCC 537 : (AIR 1981 SC 679)

101. In the case of *Pilibhit Electric Supply Co. (P) Ltd.* (Supra) the Supreme Court considered the provisions of Sixth Schedule as against the provisions of section 7-A of the Act. Section 7-A is regarding the determination of the amount of compensation where an undertaking of a licensee has been purchased by the State Electricity Board in consequence of revocation of his licence under sub-section (2) of Section 4 or is sold under sub-section (1) of Section 5 or is purchased under Section 6 or acquired under Section 6-A. Section 7-A (2) is a mechanism for computing the amount of compensation payable to a licensee. In this case the apex court held as under:

“That the concept of reasonable return is defined in sub-para (9) of Paragraph XVII of Sixth Schedule. It encompassed in respect of any year of account, the sum of the amounts mentioned in clauses (a) to (e) thereof. For finding out whether clear profit in a given accounting year exceeded reasonable return as laid down in Paragraph I of Sixth Schedule reasonable return had to be calculated for the year. For determining reasonable return capital base has to

be ascertained-as required by clause XVII(9)(a). For finding out the capital base, original cost of fixed assets was required to be computed as per clause XVII (I)(a) and for that purpose original cost was to be ascertained as per clauses XVII(6)(a) and (c). Thus



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definition of original cost of fixed assets for the purpose of paragraph I of Sixth Schedule had an entirely different purpose to achieve and had nothing to do with Explanation (ii) to Section 7-A (2) of the Act.”

102. The Court upheld the contention that concept of capitalization of the cost of supervision for computing the original cost of the asset for the purpose of paragraph I of the Sixth Schedule had nothing to do with the cost of supervision actually incurred which had to be considered as an addition to the book value of the acquired fixed assets for computing compensation under Section 7-A(2).

103. It was further held that the provisions of Sixth Schedule to the Supply Act are general provisions which were enacted to lay down guidelines for fixation of the licensee's charges to consumers as provided in section 57 of the Supply Act and also for supplying guidelines to the Rating Committee under section 57-A and for that purpose various paragraphs of the Sixth Schedule have been enacted and are made a part and parcel of the terms and conditions of the licence. But so far as the question of compensation is concerned, Section 7-A of the Act represents a complete circle.

104. Thus in the matter of computing the compensation, the applicability of Sixth Schedule with respect to the cost of supervision was not held to be applicable, as it was the supervision cost actually incurred for computing the compensation under section 7-A (2). Specific provision was thus given, namely, section 7-A (2) for computing the compensation and; therefore, the general provisions of Sixth Schedule in regard to the said calcula-; tion of compensation was not found applicable, section 7-A(2) being a complete code having been enacted for the purpose.

105. The power purchase price in the present context or the manner in which it can be determined has not been specifically provided under any of the provisions of the Act and, therefore, either they have to be determined on the basis of the mutually agreed methodology, if any, or by adopting some reasonable methodology, if no final price has been determined in the agreement. In the absence of either of the two, and more particularly when no agreed methodology or agreed rate of power purchase is mentioned in the agreement, the provisions of Sixth

Schedule by their reverse application may be a method which could be adopted for the purpose.

106. In the case of *Poona Electric Supply Co. Ltd. v. Commissioner of Income Tax* (supra), the question arose for determination re garding the deductions claimed for the pur pose of income-tax. The Court observed as under:

‘The object of the Act and that of the Sixth Schedule thereto, as aforesaid, is to statutorily rationalize and regulate the rates chargeable for the energy supplied in the interest of the public and for electrical development. The rules embodied in the Sixth Schedule to the Act are intended only to achieve that object. Under the said rules certain appropriations and certain deductions have to be made to arrive at the clear profit; otherwise the items may be manipulated to sustain a demand for abnormal rates. The rules have no concern with the income-tax; though for the purpose of arriving at the clear profit the taxes paid are also deductible.’

107. In the case of *Orissa State Electricity Board v. Indian Aluminium Co. Ltd.* (Supra), the apex court held that neither section 49 nor section 59 would confer any power upon the Board to override a contractual stipulation as to rates and to enhance the rates in derogation of such contractual stipulation, even if it finds that the rates stipulated in the contract are not sufficient to meet the cost of production and supply of electricity and it is incurring operational loss. The Board must be held bound by the stipulation as to rates contained in the two contract solemnly entered into by the State of Orissa with M/S Indian Aluminium Co. Ltd.

108. For applying the dictum of the aforesaid judgment, it is necessary to see that there did exist a contractual stipulation mutually agreed in the arrangement made by virtue of the agreement dated 15.11.1993 regarding the power purchase price or the mechanism in which it has to be calculated. No such stipulation finds place in the agreement.



109. Almost similar view was taken in the case of *Indian Aluminium Company v. Kerala State Electricity Board* (Supra) wherein the apex court held that the Board could not enhance the charges in breach of the stipulation made in the agreement and the power to fix uniform tariffs under sub-section (1) of Section 49 could not be exercised in derogation of the stipulations fixing special tariffs made under sub-

section (3) of Section 49.

110. The Court further observed that the direction to the Board under section 59 is qualified by 'as far as practicable'. So Section 59 does not give a charter to the Board to enhance its charges in breach of a contractual stipulation,

111. Placing reliance upon the aforesaid case, it has been urged that the Sixth Schedule would not be applicable nor any other methodology can be allowed to be adopted in view of the stipulation made in the agreement between the petitioner and the respondent even if the Company has to suffer losses. But in the absence of any such agreed rate of power purchase price or the accepted methodology being incorporated in the agreement, the principle laid down therein-would not be applicable in the instant case,

112. In *New Bihar Biri Leaves Co. v. State of Bihar*, "the Supreme Court propounded that it is a fundamental principle of general application that if a person of his own accord, accepts a contract on certain terms and works out the contract, he cannot be allowed to adhere to and abide by some of the terms of the contract which proved advantageous to him and repudiate the other terms of the same contract which might be disadvantageous to him. The maxim is *qui approbation reprobat*, (one who approbates cannot reprobate). This principle though originally borrowed from Scots Law, is not firmly embodied in English Common Law. According to it, a party to an instrument or transaction cannot take advantage of rone part of a document or transaction and reject the rest. That is to say, no party can accept and reject the same instrument or transaction.

113. The doctrine of *qui approbat non reprobat* would only apply in case a firm price had been fixed in the agreement or a firm methodology had been agreed upon and which expressly debars the Company from, having even the least profit, but in the absence of the two, this principle would not be attracted in the matter of determination of power purchase price in the instant case.

114. On the maxim *qui approbation reprobat*, the following cases have also been cited.

1. *R.N. Gosain v. Yashpal Dhir*, (1992) 4 SCC 683 : (AIR 1993 SC 352)
2. *P.R. Deshpande v. Maruti Balaram Haibatti*, (1998) 6 SCC 507 : (AIR 1998 SC 2979)

wherein the Court has held that the doctrine of election is based on the rule of estoppel - the principle that one cannot approbate and reprobate inheres in it. The doctrine of estoppel by election is one of the species of estoppel in pais (or equitable estoppel) which is a rule in equity. By that rule, a person may be precluded by his actions

or conduct or silence when it is his duty to speak, from asserting a right which he otherwise would have had.

115. Learned counsel also cited the case of *Nagubai Ammal v. B. Shama Rao*, 1956 SCR 451 : (AIR 1956 SC 593) (see also *C. Beepathumma v. V.S. Kadambolithaya* - (1964) 5 SCR 835 : (AIR 1965 SC 241) and *Commissioner of Income Tax v. M.R.P. Firm. Muar*) for re-enforcing the argument that the petitioner cannot approbate and reprobate.

116. For urging that the concluding-contract binding between the parties, cannot through writ petitions, be permitted to wriggle out of the contractual obligations, learned counsel also cited the case of *Har Shanker v. Dy. Excise and Taxation Commissioner*, (1975) 1 SCC 737 : (AIR 1975 SC 1121) where the petitions were filed by liquor contractors and hoteliers, who were given licence for retail sale of country liquor and foreign liquor in pursuance of their highest bid but later on they fell into arrears, as they were not in a position to meet their obligations under the conditions of the auction. They filed writ petitions to stall the consequential action by the State challenging



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the validity of the contract and the terms thereof. Dismissing the appeals preferred by the licensees, the apex court observed that since rights in regard to intoxicants belong to the State, it is open to the Government to part with those rights for a consideration. By Article 298 of the Constitution, the executive power of the State extends to the carrying on of any trade or business and to the making of contracts for any purpose and that the appellants having offered their bid in the auctions did so with full knowledge of the terms and conditions attaching to the auctions and they cannot by their writ petitions, be permitted to wriggle out of the contractual obligations arising out of the acceptance of their bids.

117. Similar view was expressed by the apex court in the case of *State Bank of Haryana v. Jage Ram* (1980) 3 SCC 599 in respect of the default committed by the licensees, who were given the licence for sale of liquor and also in the case of *Assistant Excise Commissioner v. Issac Peter*, (1994) 4 SCC 104 : (1994 AIR SCW 2616).

118. Relying upon the observations made by the apex court in the case of *Raymonds Ltd. v. M.P. State Electricity Board*, (2001) 1 SCC 534 : (AIR 2001 SC 238), namely, “tinkering with portions of contract for any such reason, merely on consideration of equity or reasonableness pleaded for vis-a-vis one party alone will amount to

mutilation of the whole scheme underlying the contract and render thereby the very generation and supply of Electrical energy economically unviable for the Board", it has been submitted by Sri Rakesh Dwivedi that reading of reasonable return in the aforesaid agreement would be wholly unjust, as this will mean tinkering with a portion of the contract merely on the basis of equity and reasonableness whereas the Company has no fundamental right to have reasonable return while doing the business in public sector and it is well accepted that in the areas of heavy capital investments, the entrepreneurs are even prepared to suffer losses with a view to ultimately gain advance and profits. The Company, in the instant case, under the agreement are getting a prime industrial area and even an established distribution infrastructure with no burden of immediate payment for assets and in these circumstances, to import the concept of reasonable return in such a contract would result in its mutilation.

119. In *Raymonds Ltd. (Supra)* the apex court was considering the challenge to the minimum guarantee charges under the Tariff Scheme whereas in the instant case there is no mutually agreed price of power purchase fixed in the agreement nor there is any agreed methodology for determination of such power purchase price incorporated in the agreement. It is only by inference or so to say by surrounding circumstances, it is being urged by the respondents that the revision of tariff has to be done by adopting the same methodology by which the tentative price was arrived at. As already discussed above, the Company at no point of time agreed to the tentative determination of Rs. 1.66 per unit, though at times it deliberated on the issue but finally it did bring to the notice of the State Government that the price of Rs. 1.70 per unit would make it available only 22 paise for the purpose of establishment costs whereas the said costs is 38 paise. Even thereafter the price of Rs. 1.66 was fixed as tentative price. The very tentative fixation of price with provision to study and revise, if necessary, after a period of six months presumes and establishes that the Government of U.R. or the Board were not in a position to fix any firm price at the time of entering into the agreement. In case the aforesaid rate of tariff was to be studied and revised, the question arises that what criteria had to be adopted while studying and revising the tariff. The phraseology of 'studied and revised' necessarily leads to the exclusion of reasonable return, cannot be Accepted. If a price has to be studied and revised, it would mean that while doing so, all relevant factors and considerations which are necessary for determination of price have to be studied which, of course would include the total expenditure and total income of the Company including the transmission losses and other expenses, may be the salary of the employees and also other heads and thus the total cost of supply



alongwith reasonable return so that the Company may survive has to be taken into consideration and accordingly its revision has to be done.

120. In the case in hand, pre-contract deliberations and correspondence show that NPCL, in fact, never agreed. to the price of Rs. 1.66 per unit and that when the tentative price of Rs. 1.70 was suggested, it brought to the notice of the Committee that it would not meet even the establishment charges for which 38 paisa per unit was required as against 22 paisa per unit, which could be received on the said rate. The Government without any further negotiation fixed the tentative rate of Rs. 1.66 per unit. It, therefore, cannot be said that it was an agreed rate or a consensus was arrived at between the parties but it appears that with a view to implement the desired policy of the State Government of introducing the private sector in the power sector, the NPCL agreed for the said price which was reduced into writing. The aforesaid price was thus unilaterally fixed, as suggested by the learned counsel for the petitioner, and since it was not a firm price, the company appears to have agreed for the. said tentative price subject to the same being studied and revised after six months. This itself establishes that there was no final price fixed, and, therefore, there could not have been any occasion for mutually agreeing to such a price, so as to make it binding under Section 47 or 48 of the Act. The pre-contract deliberations, in effect, even does not disclose that any firm methodology was adopted or adhered to, as several proposals were made for determining the rates of supply, and thereafter tentative rates were fixed.

121. After accepting that the Sixth Schedule may not be applicable in its literal form, the fact still remains] that whether a Company which, engages itself, as a commercial establishment and transacts business can be allowed to run in losses deliberately and consciously, though as per the case of the UPPCL, it may not have a legal or otherwise any. right of having any profit in such business transaction.

122. It is universally accepted principle of any business transaction that there cannot be any deliberate or mutually agreed arrangement so as to put the business organization to losses. Whenever a commercial entity makes an investment it is necessary for such entity to atleast get reasonable profits or returns against the capital employed by the promoters or borrowed from the Banks/financial institutions etc. The borrower is required to pay interest to the banks/financial institutions. Thus, it is impossible to comprehend that any commercial organization would enter into a commercial arrangement which does not offer the

organization any scope for even a reasonable return on the investments made by it.

123. In the case in hand, the Company was not allowed to fix their own consumer tariff and, therefore, for having one of the ways in which the Company can earn a reasonable return was to fix the rate of power purchase in such a manner so that the reasonable return was ensured, and at the same time the Board does not suffer any loss on supply of electricity to the company. The theory of 'reasonable return' or the principle thereof, as envisaged in Sixth Schedule, is only with a view to strike a balance between the costs of electricity supplied to the consumer and the price that they pay. It only says that the profit should only be to the extent of reasonable return meaning thereby that such profit should not be excessive so as to increase the costs of electricity otherwise to be supplied to the consumers. According to the NPCL, it had, during all discussions aforesaid, laid its claim for 'reasonable return' also as well as reasonable expenses. The pre-contract deliberations also support the claim of reasonable return as it was suggested that the company will earn profits by reducing the system loss. Thus it would be justified to hold that for the survival of the Company, it would be entitled to reasonable return, otherwise the Company would not be in a position to survive even for 4 ½ years and the whole arrangement will result in total failure.

124. Before proceeding to discuss as to whether the principle of Sixth Schedule can be applied by their reverse application, it would be worthwhile to appreciate the methodology of 'through rate' as propagated by the



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respondents The through rate normally would mean the total earnings from the sale of electricity divided by number of units sold to consumers. Since the tariff paid by different class of consumers are different, the total realisation made by the total number of units supplied to the consumers is regarded as through rate. In short, the power purchase price on through rate basis would be the total earnings divided by the total number of units supplied to the consumers less reasonable expenses including reasonable return, less transmission and distribution losses.

125. The financial principle of the Sixth Schedule in effect is more precise and well defined and well accepted commercial principle in this regard. In the absence of any agreed methodology between the parties either before or at the time of entering into the agreement, coupled

with the fact that admittedly before the parties entered into the agreement, the price of power purchase could not be fixed for want of necessary information and, therefore, a tentative price was fixed subject to the same being approved by the Expert Casting Committee, which Committee did not give its report or approval till date and there being no exclusion clause in the agreement regarding the earning of reasonable return by the Company, the most appropriate and reasonable methodology which could be adopted for determining the power purchase price would be to follow the principle of Sixth Schedule in its reverse application, as has been done by the Board in the matter of fixing the price of power purchase by KESCO, wherein also the provisions of Section 57 and 57-A could not be said to be applicable in their apparent form.

126. The first four reports, namely, Nair Committee, Joseph Committee and two earlier Committees of Mr. Beg, with the consent of both the parties, did record that the rate of tariff may be determined by applying the principle of Sixth Schedule. It was only in the Third Beg Committee Report that a different and opposite view was expressed by the Board which resulted in exclusion of the applicability of the aforesaid provision. Mr. Beg in his Third Report calculated the power purchase price by taking the total income for the period 1st January, 1994 to 30th April, 1994 and thereafter took into account the balance which might have been available to meet the energy cost and the energy consumed, reasonable energy loss in the system at the rate of 6% and the assessed energy purchase and derived the cost of energy per unit at Rs. 1.63.

127. The Commission has rightly observed that the price calculated by Beg in his Third Report does not take into account its loan of Rs. 10.10 crores. As recommended and agreed by the Government and the two parties, this will be settled separately. Similarly, the question of interest payable by the Company and not paid will have to be dealt with separately and accordingly the Authority has neither considered the loan as expenditure nor has considered the interest payable but not paid in interest as income for the purpose of calculating the price of power purchase.

128. Beg in his Third Report apart from committing the aforesaid illegality, as observed by the Commission in its report, has also relied upon certain documents, which were never given to the Company, and that he refused to allow any return so to say of 'reasonable return' on the ground that the Company would not be entitled to such a return even though it may have to go in losses, as the period of 4 ½ years would be treated as gestation period for the purpose of establishment of generating plant. In our opinion, the terms of the agreement or the pre-contract deliberations/negotiations and the alleged methodology

adopted either or through rate or otherwise nowhere prohibits that the Company would not earn any profits. The main concern there was to see that the Board does not suffer any loss because of the supply and the expenses of the Company also has to be borne in mind while determining the tariff. There was no exclusion clause nor there was any condition in the agreement, which prohibits the Company from having reasonable return. Unless the contract specifically excludes any profit or reasonable return by whatever name it is called, the plea of the Company that for its survival, the reasonable return is necessary, cannot be thrown out merely



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on the ground that the agreement does not contemplate about any such reasonable return. It is a different matter that for calculating the aforesaid amount it may have to be seen that which methodology has to be adopted and what principle has to be followed.

129. The Beg in his Third Report thus discarded the basis/methodology of all the earlier reports and consequently the financial principle of Sixth Schedule and apparently incorrectly held that the method of calculation was mutually agreed to between the parties prior to the signing of the agreement. The other discrepancy which have been pointed out by the petitioner in the aforesaid Report is regarding the depreciation of 1993-94 which was allowed in the earlier report but has been disallowed in the Third Report. The system loss taken in calculations has been irrationally assumed to be 6% without any basis, though in the past the Board itself had indicated the system loss to be 8% in the original calculations. Revenue expenses for January - March, 1994 have been reduced arbitrarily to 50% of the audited figures and the income for January - March, 1994 has been inflated by disallowing abatements given to consumers and including income of disconnected consumers not accruing to the Company. The income for April * June, 1994 has been revised upwards, thereby violating the terms of reference. Even in this report, it has been observed that the Company could have earned reasonable profit by reducing the system loss i.e. below 6% assumed in the report. The aforesaid observation makes it clear that Beg in his Third Report also was conscious that there has to be reasonable return and, therefore, though he suggested a way in which such a profit could be earned, refused to apply the principles of Sixth Schedule. In the Beg Second Report, where a price of Rs. 1.41 per unit was suggested by him, he had observed that "issues and principles such as reasonable return etc. and method of cal

culuation as decided/determined and adopted by me during the earlier exercise for fixing power purchase price during 1996 and 1997 are acceptable and need not be reviewed.”

130. This shows that the Company's claim that it was to be protected by giving reason able return was well in the mind of the Independent Authorities and the Board also agreed to the application of the principles of Sixth Schedule for the purpose of determination of the power purchase price but for in the Third Report.

131. Treating the agreement in question as a special arrangement within the meaning of section 47 and 48 and adopting the methodology as suggested by the UPPCL, it has to be considered that the determination so made of the rate of tariff does not result and adversely affect the Company merely because the applicability of Sixth Schedule was not specifically mentioned in the agreement. Clause (2) of the agreement, which has been quoted earlier, itself says about the applicability of the Indian Electricity Act, 1910 and Electricity (Supply) Act, 1948.

132. In view of the agreement between the parties before the Independent Authorities at four times coupled with the provisions of Clause (2) of the agreement and the principle of having ‘reasonable return’ in a business venture and commercial organization, it can be held that the rate of tariff has to be determined in the manner which protects the Board from incurring any loss and rather gives it at least minimum statutory profit of 3%, as is envisaged in section 59 of the Act and may be more but at the same time it does not make the Company into losses.

133. The respondents have throughout been saying that they are entitled to 3% statutory profit under Section 59 of the Act, which fact also stands verified in the suggestion of price fixation, under different proposals in precontract deliberations and as it reflects in the note of Member (Distribution).

134. The reasons for not being able to establish generation plant of its own, the Company submits that it was because of the non cooperation of the Board in not entering into the power purchase agreement as per the agreement, that such a plant could not be established. Reason may be any, but the fact remains that the generating plant has not been established till date. On a query being put to the learned counsel for the Company, as to within what period they can install the generating plant, it was replied by Sri Shanti Bhushan that now the Company has already made arrangement of land and that they would start establishment of plant even without waiting for any power purchase agreement being executed by the UPPCL and that in all expectations, the work would be completed within



a span of three/four years.

135. Since the learned counsel for the respondents had argued that the very object of allowing the Company to make supply of power to its consumers under the terms of the agreement would stand defeated in case a reasonable return is provided to the Company and they are allowed to continue with the agreement, which would give them liberty of not installing the generating plant at all and derive full advantage and profit from the electricity generated and supplied by the UPPCL, we called the learned counsel for the Company to clarify the aforesaid situation by making the query aforesaid. However, this apprehension of the respondents would again in itself alone be not sufficient to hold that the company is not entitled to reasonable return.

136. In case a reasonable return is to be given to the Company while determining the rate for purchase of power with the specified conditions of the agreement including one of supplying power to its own consumers on the same rate on which the UPPCL supplies power to its own consumers, and that the Board should not suffer any loss, the financial principle as given in Sixth Schedule, if applied by reverse application, do not call for any serious objection.

137. The Nair Committee, in its report dated 28.2.1995 has made the following observations:

“Licensees (other than Local Authorities) are governed by the provisions of the Sixth Schedule to the E. (S)) Act, which contains detailed stipulations regarding permissible items of expenditure. Having regard to the procedure adopted in fixing the cost per unit in the instant case, the Committee does not feel the need for changes; except to the minimum extent necessary to avoid a violation of the statute. Following comments are made on this basis:

‘Equity’: Return on equity at the ‘Standard Rate’ as defined in the E. (S). Act (Sixth Schedule) is an entitlement of the licensee. Omission to provide the same in the cost estimate is inexplicable.”

138. The Beg Committee First Report dated 7.3.1997 applied the Sixth Schedule with the agreement of the parties, as is reflected from paras 6 and 7 of the report. Para 6 of the report reads as under:

“6. The fifth and final hearing in the case was held on 14.10.1996. In this meeting both the parties agreed that the tariff will be calculated on the basis of date for the period January, 1994 to June, 1994 and calculation for fixation of tariff will be done as per Schedule VI of the Electricity (Supply) Act, 1948.”

139. The Joseph Committee in its report dated 8.1.1998 did not

alter the application of the financial principles of the Sixth Schedule (as was applied in the Beg Report dated 7.3.1997) and only modified the computational errors of the Beg Report dated 7.3.1997. The Principles of the Sixth Schedule were thus also accepted in the Joseph Report.

140. The Beg Committee Second in his report dated 19.3.1999 again applied the principles of Sixth Schedule, as is evident by the following observations:

“I understand that amongst various issues that needs to be addressed and settled to calculate the power purchase price under the agreement, only two issues are referred to me, i.e. income and expenditure of M/SNPCL for the period 1.4.94 to 30.6.94 were to be reviewed by me and that all other issues and principles such as income and expenditure from 1.1.1994 to 31.3.1994, Capital base, depreciation, working capital, reasonable return etc. and method of calculation etc. as decided/determined and adopted by me during the earlier exercise for fixing the power purchase price during 96-97, are acceptable and need not be reviewed.”

It was further observed as under:

“In arriving at the above figure, I have applied the same principle and taken the same values of all other elements that go in determining the power purchase rate as worked out during the earlier exercise carried during 1996 and 1997, except the income and expenditure of M/S NPCL for the period 1.4.94 to 30.6.94 which are as worked out during the present exercise.”

141. It is the admitted case of both the parties that for determining the power purchase price, the Board itself had applied the provisions of Sixth Schedule by reverse application in the case of KESCO. It is thus acknowledged and decided mechanism on the basis of which the power purchase price can be determined and has been determined even though the provisions of Section 57 and 57-A may not be applicable otherwise. The reason for not giving the aforesaid benefit to the



NPCL is only regarding the nature of the agreement between the NPCL and the Board as against the nature of the agreement between the Board and the KESCO but the fact remains that the power purchase price has been determined by reverse application of the provisions of Sixth Schedule. Though the term of the agreement was for a period of 4 ½ years but the same has been extended from time to time and is still in force, and during all the periods the normal rates are being charged by the Board/UPPCL and not the penal rates.

142. The vehemence about the non-applicability of Sixth Schedule is mainly because it has the provision of 'reasonable return'.

143. On having arrived at the conclusion that the NPCL is entitled to reasonable return, there cannot be any dispute that such tariff may be determined by applying the principles of Sixth Schedule by reverse application and that would be one of the most appropriate, accurate and secured method of determining the rate of power purchase.

144. Serious objections have been raised against the interim order passed by this court whereby reference has been made to the Commission by the Court. It has been strenuously urged that the dispute in question was not cognizable or referable to the Commission, as the Commission does not have jurisdiction to decide any dispute which has arisen prior to the enforcement of the Act of 1998 and that the Beg Report unless set aside, it cannot be said that there was any dispute which could have been referred. Further, the Commission has relied upon the Sixth Schedule, which was not applicable and that it has also gone astray in holding that there was no mutual arrangement within the meaning of section 47 of the Act and that had also recorded a factually incorrect finding that there was no scheme and the agreement has broken down.

145. It is admitted to the learned counsel for the petitioner also that the view expressed by the Commission that the agreement has broken down is erroneous and that there was no scheme in existence, is an incorrect observation but he says that even assuming that the aforesaid two observations are not factually correct, that would not affect the determination made by the Commission.

146. We also feel that despite the aforesaid two mistaken observations, neither the order passed by the Commission nor its jurisdiction would be affected in any manner. Assuming that the Scheme is in force and agreement is an arrangement under Section 47 of the Act, still in view of our findings that there was no mutually agreed power purchase price nor any agreed methodology for determination of final price in the aforesaid agreement, the findings of the Commission had to be tested on their own merits.

147. Regarding the jurisdiction of the Commission to fix the rate of tariff, both for the initial period of six months and also for subsequent periods upto 1999-2000, it may be taken note of that both the parties agreed that in terms of section 10(a) of the Uttar Pradesh Electricity Reforms Act, 1999 from the date of the Constitution of the Commission i.e. 25th April, 1998, it would be only the Regulatory Commission, who would be competent to determine the tariff, which of course, means that despite the enforceability and continuance of the agreement protected under Section 47, the right to determine the tariff for

purchase of electricity from the Board, will be determined by the Commission, irrespective of the terms of Clause 7(a) of the agreement. The question, therefore, arises that if the Commission can fix the rate of power purchase in the teeth of clause 7(a) of the agreement, after it came into being then why it cannot determine' the rate for the period of mx months and for subsequent period, if it has the jurisdiction to do so.

148. The parties not being able to reconcile with one or the other report, brought the issue before the High Court by means of the present writ petition. Placing reliance on section 10(q) of the U.P. Electricity Reforms Act, 1999, section 22(2) (n) of the 1998 Act read with section 52 of the Act, it is being urged by the petitioner that section 10(q) has to be given its widest meaning, which gives the Commission as one of its functions to adjudicate upon the disputes and differences between the licensees and utilities and to refer the matter for arbitration. Section 22(2)(n) of the 1998 Act also reads as under:

“22(2) (n) to adjudicate upon the disputes and differences between the licensees and utilities and to refer the matter for arbitration.”

149. Section 52 of the Act, has the over riding effect, which says “save as otherwise provided in section 49, the provisions of this Act shall have effect notwithstanding anything



inconsistent therewith contained in any enactment other than this Act”.

150. The Regulatory Commission is the body consisting of experts and has been constituted with the object of fixing and regulating tariff. The State Act, 1999 has been enacted to provide for the restructuring of the electricity industry in the State of Uttar Pradesh, the rationalization of generation, transmission, distribution and supply of electricity in the State regulation by an independent electricity regulatory Commission of the electricity industry in the State including the purchase, distribution, supply and utilization of electricity, the quality of service, tariff and other charges keeping in view the interest of the consumers and utilities, creation of an environment which will attract participation of private sector entrepreneurs in the electricity industry in the State and generally for taking measures conducive to the development and management of the electricity industry in the State in an efficient, economical and competitive manner and for matters connected therewith or incidental thereto.

151. A pending dispute which remains unsettled till the date of enforcement of the Commission Act, the same has to be adjudicated

upon by the Regulatory Commission was considered by the Bombay High Court in the case of *Dabhol Power Company v. Maharashtra State Electricity Board* (Writ Petition No. 1205 of 2000). The principal issue involved in the aforesaid case was whether the disputes and differences between the petitioner Dabhol Power Company and respondent no. 1 Maharashtra State Electricity Board are required to be resolved in terms of the statutory machinery under the Electricity Regulatory Commission Act, 1998 (hereinafter referred to as ERC Act) or whether such disputes must be decided in accordance with the pre-existing arbitration agreement between the parties. In the aforesaid case an agreement was entered into on 8th December, 1993 between the Dabhol Power Company and the Maharashtra Electricity Board with respect to the power purchase. This power purchase agreement was subsequently amended and supplemented by agreements dated 2nd February, 1995 26th July, 1996 and 9th December, 1998. The agreement provided for arbitration in case of any dispute. An escrow agreement was entered into between the parties on 19th September, 1998 which was amended on 27th March, 1999.

152. The Bombay High Court took into consideration the law propounded by the apex court in the case of *India Thermal Power Ltd. v. State of M.P.*, (2000) 3 SCC 379 : (AIR 2000 SC 1005) wherein the Supreme Court rejected the submission that the power purchase agreement was statutory contract under section 43 and 43-A of 1948 Act and therefore, the terms and conditions of the agreement would be of statutory character.

153. The High Court further observed as under:

“It is thus apparent that the power conferred on the ERC is of the widest possible magnitude and would cover the disputes between the petitioner DPC and the respondent Board. The terms of the contract such as escrow, LC etc. are also matters directly arising out of the tariff issues. These are all matters directly pertaining to the tariff and can be regulated by the Commission. Therefore, we are unable to agree with the narrow and restrictive interpretation of section 22(2) (n) as suggested by Mr. Chidambaram.”

154. In Para 69 the Bombay High Court also made the following observations:

“That a change in the law during the pendency of an appeal has to be taken into account and will govern the rights of the parties was laid down by this Court in *Ram Swarup v. Munshi* AIR 1963 SC 553, Which was followed by this Court in *Muta v. Godhu*, (1969) 2 SCC 653 : AIR 1971 SC 89. We may point out that in *Dayawati v. Inderjeet*, AIR 1966 SC 1423, this Court observed:

“If the new law speaks in language which expressly or by clear intendments, takes in even pending matters, the Court of trial as

well as then Court of appeal must have regard to an intention so expressed and the Court of appeal may give effect to such a law even after the judgement of the Court of the first instance.”

155. The argument of the UPPCL that in the *Dabhol Power Company* case, the supplementary agreement and escrow agreements were entered into after the Commission Act had come into force and, therefore, the said case having different set of facts cannot be of any assistance in the present one would not



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be sufficient to exclude the jurisdiction of Regulatory Commission, as in the *Dabhol Power Company* case also the agreement was entered into in 1993 and it was the specific case of the *Dabhol Power Company* that the agreement having been entered into, prior to the enforcement of the aforesaid Act and the notification issued under section 22(2)(n), could not have been the subject matter of consideration by the Regulatory Commission which plea has been rejected by the Bombay High Court. Merely because certain supplementary agreements were entered into thereafter would not make the case distinguishable on this ground alone.

156. It is also clear that when the parties did not agree to any rate of tariff and one of them approached the High Court, it can very well be presumed that there existed a dispute on the date when the party approached the High Court. The adjudication of a dispute and the existence of a dispute are two separate issues. Simply because the UPPCL felt satisfied with the determination made by the Beg Committee Third, to which NPCL did not agree, it cannot be said that there was no dispute when the matter was brought to the High Court so as to exclude the jurisdiction of the Commission on the ground that unless there was a dispute and that too which had arisen after the enforcement of the Act and constitution of the Commission, the Commission would not have jurisdiction to entertain the matter.

157. Tracing the history of dispute it goes without saying that from day one when the firm rate of tariff was to be determined, the dispute arose. The first Independent Authority, the Nair Committee, suggested and fixed the price at Rs. 1.35 per unit. The Beg Committee first suggested a price of Rs. 1.59 per unit but because of the non-agreement by the petitioner, the same was not accepted and a second report was called for in which the Beg Committee suggested/recommended the price of Rs. 1.41 per unit. This time the Board did not agree, though in the meantime, the petitioner had made

a request that the matter be referred to the Commission, as by that time it was already constituted. For the reasons already indicated in the earlier part of the judgment, a third report was called for from Mr. Beg and this time it suggested the power purchase price at Rs. 1.63 per unit but again to the dissatisfaction of the petitioner this time. The petitioner instead of asking the State Government to refer the matter to any Independent Authority, again chose to challenge the same by filing the writ petition wherein while challenging the Beg Committee Third Report on several issues and the criteria adopted, also made a prayer that the dispute be referred to the Regulatory Commission. The High Court after hearing both the parties, directed the Commission to decide the controversy in accordance with the provisions of the Electricity Reforms Act, 1999. The operative portion of the order passed by the court is as under:

“In the meantime, we provide that the State Commission under the Electricity Regulatory Commission Act, 1998 which has been deemed the Commission under section 3(6) of the Uttar Pradesh Electricity Reforms Act, 1999 may fix tariff i.e. Power Purchase Price in accordance with the provisions of the said Act of 1999, after giving an opportunity to the parties concerned within 10 weeks from the date of production of a copy of this order and in the meantime the parties shall maintain status quo regarding the payment of tariff by the petitioner to the Corporation, but the protection which has been afforded to the petitioner shall be of no avail as soon as the State Commission fixes tariff in that regard.”

158. The main grievance against the Beg Committee Report Third raised by the petitioner is that it did not apply the principle of Sixth Schedule by reverse application, although the same principle was applied in the matter of KESCO in fixing the power purchase price and also by all the Independent authorities including Mr. Beg in his earlier reports and the Board/UPPCL itself had agreed before these Independent authorities that Sixth Schedule will apply.

159. The application of section 47 and 48 of 1948 Act for the purpose of excluding the jurisdiction of the Commission in the matter of determination of power purchase price has to be decided in the light of the fact that whether any agreed price of power purchase was ever arrived at between the parties either at the time of entering into contract or before the contract was reduced in writing or there is any such agreed rate in the agreement, and whether at any point of time consensus has been arrived to any methodology or so to say

any agreed methodology ever came into being.

160. Shorn of any unnecessary details, the agreement does not prescribe any agreed rate or final rate of tariff for the period of six months or for any period thereafter. The determination of rate of tariff for the period commencing after six months was dependent upon the basic rate of tariff which was to be determined for the period of six months for which a tentative rate of Rs. 1.66 per unit was mentioned in the agreement. This rate of tariff undisputedly was tentative and was arrived at by the Government by holding various meetings, despite the objection of NPCL that it would not be having the return even sufficient for its maintenance and establishment cost. This objection was not considered at the time of fixation of the aforesaid tariff of Rs. 1.66 per unit and since the Board was not having any data about the expenditure and income of the NPCL nor was having any other material relevant for the purpose of determination of final tariff, it was so decided to first fix the tentative rate of Rs. 1.66 per unit and then study and revise the same, if necessary, after six months. It, therefore, cannot be said that Rs. 1.66 per unit was a duly agreed rate which was fixed in the agreement of the NPCL. It was, in fact, a rate fixed for the purpose of bringing into motion the policy of the State Government for supplying the electricity through private sector.

161. Learned counsel for the respondents Sri Jaideep Narain Mathur also do admit that this price fixation was done on the desire of the State Government. It is equally apparent that in the agreement, which was reduced in writing on 15.11.1993 there is neither agreed rate of tariff nor any specific methodology has been provided therein for studying and revising the tariff for the period of six months.

162. The argument of the UPPCL that the term 'studied and revised' would necessarily mean that the same methodology has to be adopted for fixing the final price which was adopted at the time of determination of tentative price appears to be based on the assumption that there existed any agreed methodology and the NPCL duly participated in the determination of the tentative price and it agreed for the tentative price. Apart from this, when a price is to be studied and revised, it would not conclusively mean that all relevant factors and considerations which are necessary for determination of such price including the factor that there should not be any loss to the Board or that there should be a reasonable return to the NPCL stand excluded and cannot be seen. The phrase 'studied and revised' has to be given its natural meaning, which cannot be confined to one or the other limited consideration. If one of the main consideration in determining the price was the protection of the Board from incurring any loss for making the supply of electricity to the NPCL, the reasonable return to the NPCL is no less an important

factor.

163. The principle enunciated in the Sixth Schedule do govern such determination of tariff by the licensee for its consumers. Since the Board is not the licensee within the meaning of section 57 and NPCL is though a licensee but is not to determine the tariff for its consumers, the provisions of Sixth Schedule can only be applied by reverse application. Even if the price or the rate of tariff is to be fixed on the basis of through rate, this also would have to be done in substance by keeping in mind the rate on which the NPCL is to supply electricity to its consumers. Final rate of supply to consumers being fixed by the Board, any formula made for determining the power purchase price would necessarily mean reverse application.

164. Even the pre-contract negotiations/deliberations do not expressly stop the Company from raising the plea of reasonable return nor anywhere in the said negotiations, it has been stated that the Company was not entitled to any profit or reasonable return. It is also unquestionable that when the UPPCL itself agreed about the applicability of Sixth Schedule before different Independent Authorities including Mr. M.I. Beg on all four occasions, in no changed circumstance, the said plea was given up in Beg Committee Third and it was asserted by the Board for the first time that the principle of Sixth Schedule would not be applicable.

165. The High Court finding that there was a dispute in existence, referred the matter to the Commission with the direction that the same be determined in accordance with the provisions of the Electricity Reforms Act, 1999. Section 24 of the Act reads as under and gives the criteria for determining the tariff, which the Commission has to follow:



“24. Licensees’ revenues and tariffs-

- (1) The licensee shall follow the procedure specified in the regulations in calculating the expected revenue from charges which he is permitted to recover and in determining tariffs.
- (2) Save as provided in sub-section (3), the Commission may specify in regulations the terms and conditions for the determination of the revenue and tariffs and, in doing so, the Commission shall be guided by the following, namely,-
 - (a) the financial principles and their application provided in Sections 46, 57 and 57-A of the Electricity (Supply) Act, 1948 and in the Sixth Schedule thereto;

- (b) the factors which would encourage efficiency; economical use of the resources, good performance, optimum investments, observance of the conditions of the licence and other matters which the Commission may consider appropriate for the purpose of this Act; and
- (c) “the interest of the consumers.”

166. In our opinion, the Commission would have jurisdiction to adjudicate upon any dispute, may be arising out of the agreement entered into between the parties prior to the enforcement of the Commissions Act, unless such an agreement is protected by section 47 of the Act by means of which special arrangement has been made on mutual agreement between the parties. The rate of tariff not being mutually agreed between the parties in the agreement and the methodology not being given in the agreement for determination of final price even though the agreement stand protected under section 47 of the Act for the purpose of supply of electricity by the UPPCL to the Company for distributing it to its consumers, the same is not of any effect, in respect of the price determination. In view of the aforesaid findings, the Commission would have jurisdiction to entertain and decide the dispute regarding the rate of tariff.

167. We also find force in the argument of the learned counsel for the petitioner that even, though not admitted, but assuming that the Regulatory Commissions was not having jurisdiction to entertain and decide the aforesaid dispute, being a pre-existing dispute under section 10(q) of the Act of 1999, its report or the order cannot be faulted with, as it was open to the High Court under its inherent powers to take the assistance of the Electricity Regulatory Commission, and to have its report, it being an Expert Body and in such cases it was open to the Expert Body to go beyond the scope of the Act while deciding the issue referred by the Court Reliance has been placed on the case of *Paramjeet Kaur v. State of Punjab*, (1999) 2 SCC 131 : AIR 1999 SC 340 in this regard. Further placing reliance upon the case of *A.P. Pollution Control Board v. Prof. M.V. Nayudu (Retd)*, (1999) 2 SCC 718 : (AIR 1999 SC 812) it has been urged that in the event of such an Expert Body having been appointed by the High Court and when such a Body has recorded findings, such findings should not be interfered with.

168. Placing reliance upon the case of *WBSEB v. CESC*, JT 2002 (7) 5578 : ((2002) 8 SCC 715 : AIR 2002 SC 3588), learned counsel for the petitioners submitted that the UPERC is an expert body having expert knowledge, inter alia for fixation of tariff. Even the tariff payable by a distributing company to another entity which supplies power to such distributing company is to be determined by the concerned regulatory commission and such determination are to be normally accepted. The Supreme Court in Para 68 of the judgement, observed as

under:

“Further, in regard to the exercise of appellate power against the orders of expert tribunals, on facts, the appellate court which is not an expert forum should be doubly careful while interfering with such expert forum's finding on facts. That is a principle accepted by this Court with which we respectfully agree. See *reliance Silicon (I) Pvt. Ltd. as also Collector of Customs Bombay.*”

169. Reliance has also been placed by the petitioner on the case of *Mrs. Judith Fernandes v. Conceicao Antonio Fernandes*, (1996) 10 SCC 401 : AIR 1996 SC 2821 wherein the apex court considered the jurisdiction of the Civil Court and found that no doubt, the suit had been filed on October 10, 1973 but the trial court passed the judgment and decree on January 27, 1983, the Fifth Amendment having come into force with effect from April 20, 1976, several years before, the passing of the decree and, therefor, the bar of sub-section (2) of section 58 became applicable. In this background, the High Court was justified in setting aside the judgment and decree passed by the trial court which had



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been affirmed by the court of appeal. The plea of the defendant-respondents that they were the tenants of the land in question having coconut trees, as such the Civil Court had no jurisdiction to pass the decree for eviction against them was not accepted.

170. After holding that the Commission was having jurisdiction to decide the dispute and that the High Court having directed him to do so, no fault can be pointed out in its report on the basis of lack of jurisdiction of the Commission.

171. On the merits of the report of the Commission, the challenge has been made solely on the ground that apart from the ground of lack of jurisdiction, it applied the principle of Sixth Schedule which were not applicable nor there was any contemplation when the tentative price was fixed or when the final determination was to be done. Besides, a plea was also raised that in view of the provisions of Clause 7(a) of the agreement, the Board was the only authority, who could have determined the price for subsequent period/years and, therefore, the Commission exceeded its authority in determining the price for the period after six months upto 1999-2000.

172. In regard to the jurisdiction of the Commission, suffice would be to mention that it had the jurisdiction to decide the final price with respect to the period of six months regarding which a dispute was

already existing. The applicability of Sixth Schedule by reverse application can also not be ruled out, which principle has rightly been applied for the reasons given in the report and affirmed by us in the judgment. So far as fixing and determination of rate of power purchase for the subsequent period is concerned, since the Commission had the jurisdiction to determine the tariff and the rate of tariff for the subsequent period was to be determined on the basis of the basic rate fixed for six months and also for the reason that after the constitution of the Commission in the year 1998, all such rates were to be fixed by the Commission, no objection can be taken for such determination by the Commission.

173. The determination made by the Commission is also in conformity with the provisions of section 59 of the Electricity (Supply) Act, which requires the profit of not less than 3% to the Board/UPPCL. Section 59 of the Act provides as under:

“59. General Principles for Board's finance-

- (1) The Board shall, after taking credit for any subvention from the State Government under Section 63, carry on its operations under this Act and adjust its tariffs so as to ensure that the total revenues in any year of account shall, after meeting all expenses properly chargeable to revenues, including operating, maintenance and management expenses, taxes (if any) on income and profits, depreciation and interest payable on all debentures, bonds and loans, leave such surplus as is not less than three per cent, or such higher percentage, as the State Government may, by notification in the Official Gazette, specify in this behalf, of the value of the fixed assets of the Board in service at the beginning of such year.

Explanation.-For the purposes of this sub-section, “value of the fixed assets of the Board in service at the beginning of the year” means the original cost of such fixed assets as reduced by the aggregate of the cumulative depreciation in respect of such assets calculated in accordance with the provisions of this Act and consumers' contributions for service lines.

- (2) In specifying any higher percentage sub-section (1), the State government shall have due regard to the availability of amounts accrued by way of depreciation and the liability for loan amortization and leave-
 - (a) a reasonable sum to contribute towards the cost of capital work; and
 - (b) where in respect of the Board, a notification has been issued under sub-section (1) of Section 12-A, a reasonable sum by way of return on the capital provided by the State

Government under sub-section (3) of that section and the amount of the loans (if any) converted by the State Government into capital under sub-section (I) of Section 66-A.”

174. The aforesaid provision prescribes that after meeting all expenses, the Board shall leave such surplus as is not less than three percent, or such higher percentage, as the State Government may by notification in the official Gazette, specify in this behalf, of the value of the fixed assets of the Board in service at the beginning of such year. The fixed assets, which were made available to the Company, were valued to the tune of Rs. 10



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10 crores. It cannot be presumed nor can be accepted that this 3% surplus which is to be earned from the assets transferred by the Board to the NPCL should be calculated by taking into account all the assets of the Board in the entire State of U.P., an argument which has been raised by the learned counsel for the Board. It would be wholly impracticable to suggest that the entire 3% statutory surplus as prescribed in the aforesaid provision of section 59 can be made good by realizing the power purchase price from the Company alone. Keeping in mind the assets of the Board which have been transferred to the Company and also the costs of the power at which the same is available to the Board and the rates determined by the Commission, for power purchase, the position which emerges from the report of the Commission has been very vividly and clearly summarized in the various charts annexed with the report. The rates fixed by the Commission ensure not only the statutory profit of 3% under section 59 but a much higher return to the UPPCL ranging from 39 paise per unit to 79 paise per unit in different years from 1993-94 to 1999-2000 as against the reasonable or effective return to NPCL ranging from 0 paise to 10.26 paise per unit.

175. The Commission on consideration of various facts has observed as under:

“The average pooled cost of energy generated and purchased by UPSEB/UPPCL between 93-94 and 1999-2000 was 109.52 paise per unit, while the average purchase price to be paid as determined by the Commission, by NPCL is 187.57 paise per unit. The additional per unit payment by NPCL will be about 71.26% more as compared to the pooled cost of energy generated and purchased. The wheeling cost of power including technical losses incurred by UPSEB/UPPCL is

taken at 12% of the energy cost. After taking this into account UPSEB/UPPCL will receive 52.91% more than the pooled cost of own generation and power purchased and wheeling charges (including technical losses). The bulk power purchase price of UPSEB/UPPCL from the generating stations owned by government of India is higher than from its own power stations. The average bulk purchase price from central generating stations was 125.52 paise per unit in the period 1993-94 to 1999-2000. If this is taken as cost to UPSEB/UPPCL then the average per unit bulk purchase price to be paid by NPPCL will be more by 49.43% excluding wheeling charges and technical losses and 33.43% if they are included. Thus the arrangement entered into by UPSEB/UPPCL which NPCL is not be to the disadvantage of the former (Annex-X)."

176. The report of the Commission also contains various annexures which indicate the profit of UPSEB for the year 1993-94 to 1999-2000, which shows that the Board/UPPCL was earning much more profits on the determination made by the UPERC, which need not be repeated in this judgment. The cost has been calculated by taking into account the pool cost of UPSEB's own generation and purchase and by taking into account the average pooled cost of energy generated and purchased by UPSEB/UPPCL between 1993-94 and 1999-2000 and also by taking into account the bulk power purchase price of UPSEB/UPPCL from central generating stations. The figures of cost of purchase, sale and profits and reasonable return of NPCL and other details given by the UPERC could not be disputed by the respondents' counsel in their arguments despite the opportunity being given and query put by the court even on re-hearing. We, therefore, take them as correct and find that in any case the mandatory requirement of section 59 stands fulfilled in the rates determined by the Commission, which satisfies the plea of the UPPCL that it is entitled to 3% statutory profit.

177. Before concluding, we place on record that serious technical and hypertechnical objections and arguments have been raised on the method of calculation of tariff, methodology adopted during the pre-contract negotiations, the determination made by the various Committees/Independent Authorities and also by the Commission including the applicability of Sixth Schedule and the principles thereof and jurisdiction of the High Court to refer the matter to the Commission and consequently the jurisdiction of the Commission and though we have dwelt upon all such questions, we are also of the view that determination of rate of tariff should be fair, just and reasonable and the Commission's determination having been done by taking into account the relevant considerations that the Board not only should not suffer loss but should earn the profit at least 3%, as given in Section 59



or more and also some reasonable return to the NPCL wherein for first two years it would not earn any reasonable return does not call for any interference. The determination of rate of power purchase for different years, done by the Commission is based on the settled norms duly recognised and, therefore, also we do not intend to interfere into the determination so made. The controversy lingering since beginning i.e. for long 12 years must come to an end, as non-determination of the final price would necessarily lead to adverse results, and would mutilate and defeat the purpose and object of the agreement.

178. We also hope and trust that the NPCL shall set up the generating plant, as given by them during the course of arguments expeditiously and as early as possible, within the time proposed by them.

179. For the reasons stated above, the writ petition is allowed. The Report of the Beg Committee Third is set aside and the report of the Commission is hereby affirmed. *Petition allowed.*

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